

Annual Report 2013



Playing a Pivotal Role in National Development Through Financing PPP Infrastructure Projects



Bangladesh Infrastructure Finance Fund Limited (BIFFL)
(A Company under Ministry of Finance)

Welcome To Bangladesh Infrastructure Finance Fund Limited (BIFFL)



"BIFFL, a Public Limited Company has been established as a SPV (Special Purpose Vehicle) under Ministry of Finance by Govt. of Bangladesh. The Company is playing a pivotal role in National Development through financing Public Private Partnership (PPP) infrastructure projects."

Bangladesh Infrastructure Finance Fund Limited (BIFFL) is a Public Limited Company registered under Companies Act, 1994 and incorporated on 21 March, 2011. Earlier, the cabinet meeting held on 29 July, 2010 approved the formation of (BIFFL). Cabinet in the same meeting in principle approved BIFFL's 'Memorandum of Association'(MOA) and 'Articles of Association'(AOA). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1.00 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up capital is BDT 16.00 billion.

Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has received license from Bangladesh Bank on 16 October, 2011 to operate as a Non-bank Financial Institution (NBFI) under the Financial Institutions Act, 1993. Infrastructure Financing is an arrangement for extending financing facilities for the PPP projects in the form of debt or equity through specialized financial institutions such as BIFFL.

The main objective of BIFFL is to provide predominantly long-term financing for PPP projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest Companies that are implementing infrastructure projects in Bangladesh. The Government will hold 100 percent ownership of the Company at the beginning. After the private sector invests in equity they will also get ownership of the Company.

The Government pins high hope on an infrastructure fund by marking an Authorized Capital of BDT 100.00 billion for a Company that will run the fund. Such a big Authorized Capital is meant for giving a signal to the local and foreign investors that the Government aims big for the fund. It will help grow confidence among the investors.

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Letter of Transmittal

The Shareholders
Bangladesh Bank
Registrar of Joint Stock Companies & Firms
The Stakeholders

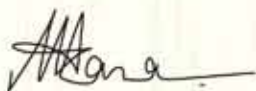
ANNUL REPORT FOR THE YEAR 2013

Dear Sir (s),

We are much contented to present the Annual Report of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year 2013 along with the Directors' Report and the Audited Financial Statements for the year ended December 31, 2013.

Financial Statements of the BIFFL comprise of the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, Cash Flow Statement and the Notes to the Accounts. The Annual Report also includes Auditors' Report on the financial statements.

Thank you.
Yours sincerely,



Md. Atiquzzaman
Executive Director & CEO

Vision



Promotion of National Development by Leveraging relative strengths of Public and Private Sector Through financing PPP Infrastructure Projects.

Mission



To perform as a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices, maintaining high Standard of integrity, ethical values, and transparency in all levels of Management.

To promote Country's economic development by facilitating and encouraging Private Sector Investment in all infrastructural projects; and

To support sustainable economic growth of Bangladesh through facilitating Infrastructure Development.

GOALS & *OBJECTIVES*



To provide long-term finance to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program;

To catalyze co-financing from Private Financial Sources through the comfort of a professional domestic fund entity's presence in an investment;

To provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle.

Key Milestones



June, 2009

Government issues a position paper on PPP, titled 'Invigorating Investment Initiative through Public-private Partnership'.

29 July, 2010

The Cabinet meeting approves the formation of Bangladesh Infrastructure Finance Fund (BIFF) as a special purpose vehicle (SPV) to finance infrastructure projects in the country. It also approves Memorandum of Association and Article of Association of the said company in principle.

21 March, 2011

Bangladesh Infrastructure Finance Fund (BIFF) is registered and incorporated under the Companies Act, 1994 (ACT XVIII of 1994) as a Public Limited Company, with an Authorized and Paid-up Capital of Taka 100.00 billion and 16.00 billion respectively.

16 October, 2011

BIFFL receives license from Bangladesh Bank to operate as a Non-bank Financial Institution (NBFI) under the Financial Institutions Act, 1993.

1 February, 2012

Mr. Md. Atiquzzaman joins BIFFL as its first Executive Director (ED) & Chief Executive Officer (CEO).

25 June, 2012

Under the provisions of Article of Association (clause no. 134 ~ 141), the Advisory Board of BIFFL has been formed by MoF, which is to be an apex body formed to provide guidelines and strategy to the Company for formulation of national policies, their approval & supervision and to give directions, supervise and monitor implementation with a view to updating and implementing the Company and Government's goals for Infrastructure development;

02 January, 2013

Memorandum of Understanding (MoU) has been signed between BIFFL with Infrastructure Development Company Limited (IDCOL), an entity under ERD, Ministry of Finance, for conducting Due Diligence and Project Appraisals for eligible infrastructure projects for financing, till the capacity development of BIFFL.

08 July, 2013

Agreement has been signed with Infrastructure Investment Facilitation Company (IIFC) to provide Technical Advisory services to BIFFL.

14 June, 2012

A Letter of Agreement (LoA) for Technical Assistance (TA) for "Fund Management Support for Infrastructure Finance", in support of the operationalization of the Bangladesh Infrastructure Finance Fund Limited (BIFFL), referred to as "Sub-Project" has been signed by ADB, MoF & BIFFL and forwarded to ADB by ERD. On 16 June 2011, ADB approved the provision. From September 2013, 4 consultants appointed by ADB here worked closely with BIFFL in Credit related areas, under the TA. Since the starting of this TA project by ADB, BIFFL has gained considerable momentum. Also in-house trainings are under way. Officials are getting strongly prepared to make a position in the market very soon. The TA consultancy is scheduled to be completed within June 2014.

10 October, 2013

BIFFL has signed 'Participation Agreement' with Bangladesh Bank to work in the Renewable Energy Sector by participating in the 'Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector' with a fund of "200 crore BDT" sponsored by Bangladesh Bank.

13 November, 2013

The Organizational Structure" of BIFFL has been approved by BIFFL Board in its 14th meeting. Board also permitted to recruit in more top and mid-level management positions. The process of recruiting in these position is complete. All the officials have already joined, and BIFFL fleet now has 16 officers including its CEO.

06 December 2012

BIFFL has launched a resourceful website with every bit of details (www.biffl.org.bd).

INVESTMENT

December, 2012

BIFFL has participated in the 'PPP Global Investors' Forum: Bangladesh 2012', held at Ruposhi Bangla Hotel. BIFFL distributed leaflets and brochures and showed video clippings at its stall in the program to introduce itself to global investors visiting there.

18 September, 2013

BIFFL has devised primarily the most important document for its operationalization - the Credit Policy. It has been approved by BIFFL Board of Directors in its 13th meeting. It has specified areas and guidelines for large, medium and small scale investments. This policy will be considered as the proper guideline for appraising, finalizing and disbursement any loan.

BIFFL Board has approved from infrastructure projects:

- a 108 MW Gas-based Power Plant of 'Regent Energy and Power Limited' (REPL). BIFFL Board in its 11th meeting held on 06 May, 2013 approved the proposal to invest 1000.00 million BDT (12.2 million USD) in the project of REPL located in Ghorashal, Narshingdi. The total project cost is BDT 6526.00 million (USD 81.58 million). Loan Tenure: 12 years, Grace Period: 1 year, Interest Rate: 15%.
- a 52.4 MW HFO fired Power Plant of Sinha People's Energy Limited (SPEL). BIFFL Board in its 16th meeting held on 12 March, 2013 approved the proposal to invest BDT 1000.00 million in the project of SEPL located in Kathpotti, Munshiganj. The total project cost is BDT 3,537.05 million, Loan Tenure: 10 years. No Grace Period, Interest Rate: 15%; and
- a 500-bed Multi Specialty Hospital of Impulse Health Services & Research Centre Limited. BIFFL Board in its 16th meeting held on 12 March, 2013 approved the proposal to invest BDT 300.00 million in the project of Impulse, located at Tejgaon, Dhaka. The total project cost is BDT 1,250.70 million, Loan Tenure: 08 years from the date of first disbursement with Grace Period of 03 years, Interest Rate: 15%.
- PET To PET manufacturing plant to Produce Food Grade and Fiber Grade resins. The Total project cost is 657.01 Million. BIFFL is going to finance Tk. 226.00 Million.

BIFFL Cerdit Team is conducting the Due Diligence of the following Large and Medium Infrastructure Projects -

- First Dhaka Elevated Express Way which involves construction of a four lane main carriageway from Dhaka Air Port to Kutub Khali (Dhaka - Ctg High way)
- Orion Power Dhaka Limited for setting up a 522 MW coal fired power plant at Mawa, Munshiganj.
- Karnafuly Dry Dock Limited for setting up a Dry Dock Project at the bank of Karnafuly river.
- Sinha Energy Limited for setting up a 52.4 MW HFO fired power plant at Munshiganj.
- Solar Intercontinental Limited for setting up a PV & Optimizer based solar home systems assembling plant at Baridhara, Dhaka.
- ARB Bricks Limited for setting up new zig zag brick field at Dhamrai, Dhaka.

Investment Sectors



- Power & Energy
- Natural Resource Development
- Fertilizer
- Transportation System
- Port Development
- Air & Railway Transportation
- Telecommunication System
- Tourism
- Utility & Environmental Management
- Green and Renewable Energy Efficient Projects
- Social and Industrial Infrastructure Projects
- Poverty Alleviation Projects
- Urban & Rural Development Projects

Corporate Information

BOARD OF DIRECTORS

Chairman
Mr. Mahbub Ahmed

Directors

Md. Abul Kalam Azad
Monowar Islam, ndc
M.A.N. Siddique
Khandker Anwarul Islam
A.R.M. Nazmus Sakib
Md. Atiquzzaman

Executive Director & CEO
Md. Atiquzzaman

Company Secretary
Mohammad M. Khan, ACS

Executive Committee
Chairman
Khandakar Anwarul Islam

Members
Monowar Islam, ndc
Md. Atiquzzaman

Member Secretary
Mohammad M. Khan, ACS

Audit Committee

Chairman
M.A.N. Siddique

Members
A.R.M. Nazmus Sakib
Abubakar Siddique

Member Secretary
Mohammad M. Khan, ACS

Registered Office

4, Anjuman Mufidul Islam
Road, Kakrail, Dhaka-1000.
PABX: +880-2-8333238-9
FAX: +880-2-9348518
www.biffl.org.bd



Incorporation

Company Regs. No-C91370/11
March 21, 2011.

Share Capital

Authorized Capital
BDT 100.00 Billion

Paid-up Capital
BDT 16.00 Billion

Value Per Share
BDT 100.00 Each

Sponsors
Govt. of Bangladesh

Website
www.biffl.org.bd

Auditors
M/s. A Matin & Co.
Chartered Accountants
Park Lane Complex (3rd Floor)
64/4, Naya Paltan, Dhaka-1000

Legal Penal
M/s. Huq & associates
M/s Syed Ishtiaq Ahmed & Associates
M/s Tanjib-ul Alam & Associates

M/s Sadat Sarwat & Associates
M/s Ahmed & Farooq LP
M/s Lex Juris
M/s. Abdur Razzaque & Assoc
M/s. Hasan & Associates
M/s. Law Valley
M/s. Vertex Chambers
M/s. Bhuiyan Islam & Zaidi
M/s. Rouf & Associates
M/s. Rahman's Chamber
M/s The Lawyers & Jurists
M/s Legacy Legal Corporate

Bankers

Bangladesh Bank
Sonali Bank Ltd.
Janata Bank Ltd.
Rupali Bank Ltd.
Dhaka Bank Ltd.
National Bank Ltd.
Dutch Bangla Bank Ltd.
Jamuna Bank Ltd.
One Bank Ltd.
NRB Commercial Bank Ltd.
First Security Bank Limited
AB Bank Limited

Advisory Board

In Accordance with Article-134 & 135 of the Article of Association, a Nine Members Advisory Board of BIFFL has been formed, which is to be an apex body to provide guidelines and strategy to the Company for formulation of National Policies, their Approval & Supervision; and to give Directions, Supervising and Monitoring for implementation with a view to updating and implementing the Company and Government's Goals for Infrastructure Development in the Country.



Abul Maal A Muhith
The Honorable Minister
Ministry of Finance



Dr. Tawfiq-E-Elahi Chowdhury BB
Advisor to the Honorable
Prime Minister For Ministry
of Power, Energy & Mineral
Resources



Amir Hossain Amu, MP
The Honorable Minister
Ministry of Industries



Obaidul Quader
The Honorable Minister
Ministry of Road Transport &
Bridges.



Shajahan Khan
The Honorable Minister, Mos
Ministry of Shipping



Dr. Syed Abdus Samad
Executive Chairman
BOI, Prime Minister's Office



Dr. Atiur Rahman
Governor
Bangladesh Bank



Dr. Mohammed Farashuddin
Ex Governor, Bangladesh Bank
President, Board of Trustees
East-West University, Bangladesh



Dr. Zaidi Sattar
Chairman
Policy Research Institute of
Bangladesh



Mahbub Ahmed
Chairman



Md. Abul Kalam Azad
Director



Md. Abubakar Siddique
Director



M. A. N. Siddique
Director



Monowar Islam, ndc
Director



Khandker Anwarul Islam
Director



A. R. M. Nazmus Sakib
Director



Md. Atiquzzaman
Executive Director & CEO

Board Of Directors

The overall Organizational policies and business decisions of the Company are vested with the eight (08) Members of the Board of Directors of BIFFL.

Board Secretary



Mohammad M. Khan
Company Secretary

Directors' Profile

Mr. Mahbub Ahmed is the Senior Secretary, Finance Division under Ministry of Finance (MoF) and also the Chairman of Bangladesh Infrastructure Finance Fund Limited (BIFFL). He has been nominated as Chairman / Director of BIFFL on 19 August 2014.



Mahbub Ahmed
Chairman

Mr. Ahmed joined the civil service of Bangladesh in 1982, and served in many capacities under the Government of Bangladesh. He worked as the Secretary, Ministry of Youth and Sports; Additional Secretary, Finance Division, Ministry of Finance. Joint Secretary (Development), Ministry of Primary and Mass Education; Deputy Secretary, Cabinet Division; Deputy Secretary, Ministry of Finance and Planning; National Board of Revenue (NBR), Department of Taxes; Ministry of Fisheries and Livestock; Ministry of Agriculture (Irrigation Project).

Mr. Ahmed obtained MSC degree in Economics from the University of Dhaka. He also completed Hubert Humphrey Fellowship under Fulbright Exchange Program of USA Government in Finance and Development Economics at the American University, Washington D.C. (1992-93). Besides, he has received various professional developments Training, from diverse Institutes both at home and abroad specially Cornell University, USA; University of London, UK; Manchester University, UK (under MATT2, 2nd round); International Monetary Fund (IMF), Singapore & Washington DC; The World Bank, Washington DC, USA

Mr. Ahmed also has expertise on Micro Economic Management, Domestic Resource Mobilization, Policy & Enforcement, Coordination activities between Govt. and Development Partners, Development Project Planning and Implementation, Program & Project Appraisal, Analysis, Monitoring & Evaluation and Data analysis and Preparation of Technical Reports.

In Publications, Mr. Ahmed is also an author and co-author of 18 academic Articles and Mimeographs on Development Economics of which two have been published in the International Journals. One Book on experience as Hubert Humphrey Fellowship was published in 1996 by the University Press Limited (UPL), Dhaka.

Directors' Profile

Mr. Md. Abul Kalam Azad is the Senior Secretary of Prime Minister's Office and the Member of Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 10 February 2014. He is also a member of the Board of Directors of IDCOL, BFTI and the Chairman of IIFC and Power Grid Company of Bangladesh.



Md. Abul Kalam Azad
Director

Having joined the civil service in Bangladesh 1982, Mr. Azad held distinguished positions in different Ministries and Divisions of the Government including additional Secretary in the Ministry of Health and Family Welfare and Joint Secretary (APD) in the Ministry of Public Administration and also served in the different administration, where he led different development interventions of the Government.

Mr. Azad underwent different Professional Trainings in various famous Training Institutes both at home and abroad. He himself is a successful Trainer and spent a brief stint in the Bangladesh Civil Service Administration Training Academy to work for the grooming of the Future Leaders of Bangladesh Civil Service. He is a regular speaker in different civil service Training Institutes in Bangladesh.

Mr. Azad has been successfully contributing to Scouts Movement in Bangladesh and is currently the Chief National Commissioner of Bangladesh Scouts. Recently he has been elected as a Member of Asia Pacific Regional Scouts Committee. Presently he is also the President of Bangladesh Roller Skating Federation.

Mr. M. A. N. Siddique is the Secretary of the Road Transport & Highways Division, Ministry of Road Transport and Bridges & the Member of the Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 15 December 2011.



M. A. N. Siddique
Director

During his long journey of Civil Service Career, he worked in various capacities of administration both in field & secretariat. He also worked at the Bangladesh Mission in Jeddah, Kingdom of Saudi Arabia.

Mr. Siddique graduated in Economics from the University of Dhaka and also did his Masters in the same field from the same University. He also completed certificate course on German Language from the University of Dhaka. He obtained Post Graduate Diploma in Local Government Management with High Distinctions and MSS in Development Administration from Birmingham University of United Kingdom. He completed various in-service training courses in home and abroad successfully. He has published more than 10 articles on Development and Administration in different Journals and Newspapers in home and abroad.

Directors' Profile

Mr. Abubakar Siddique is the Secretary of Energy and Mineral Resources Division (EMRD) and the Member of Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 19 August 2014.

Mr. Siddique completed his Graduation and Post Graduation degree in Management from the University of Dhaka and secured First Class 3rd position in both levels. He joined in Bangladesh Civil Service (BCS) in 1983 and belongs to BCS (Administration) Cadre 1982 Special Batch.

Mr. Siddique has started his career as Assistant Commissioner and in the field level he served in different districts in different capacities. Then he posted in Bangladesh Secretariat as Senior Assistant Secretary on 22 April 2001 and worked in different Ministries, Divisions and Departments. During his long and versatile career he has served the country by applying his progressive leadership, enlightened thinking, outstanding talent and impressive potentials being motivated by full of patriotism, commitment, dedication and conscience.

After joining in the Bangladesh Civil Service Mr. Siddique took part in different training programs in home and abroad. He has successfully completed Short Law Course, Military Training, Foundation Training, Survey and Settlement Training, Land Management (Short) Course, ACAD Course and Managing at the Top-2 (MATT-2) Course in different apex institutions at home and abroad. He is also serving as Chairman of six different Companies.

Mr. Md. Abubakar Siddique has been awarded "Certificate and Gold Medal" for Performance Based Incentive Program of IFFD Project during FY 1995-96.



Md. Abubakar Siddique
Director

Mr. Monowar Islam, ndc is the Secretary, Power Division, Ministry of Power, Energy and Mineral Resources, Government of Bangladesh and the Member of Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 8 May 2013.

Mr. Monwar completed his under Graduate and Graduate program in public Administration from the University of Chittagong. He joined the Bangladesh Civil service in 1982 in BCS (Administration) Cadre. He did some Certificate Courses on the Project Planning and Management in Philippines, Economic Policy Management and Private Sector Development in U.K., Environmental Management System in Japan and Managing at the Top in Singapore and U.K. He has also completed National Defence Course (ndc) in 2009.

He served the Bangladesh Secretariat at Policy Formulation, Field Administration and Policy Implementation levels. He worked for the Ministry of Food, Ministry of Public Administration, Ministry of Finance (Economic relationship Division), Cabinet Division, Ministry of Science & Technology, Ministry of Environment and Forestry as Assistant Secretary, Senior Assistant Secretary, Deputy Secretary and Joint Secretary. He was Director General of the Department of Environment and the department of Narcotics and Control. He worked for the World Conservation Union and UNDP as Project Manager of National Capacity Self- Assessment for Sustainable Environmental Management Project. He also worked as Upazilla Nirbahi Officer at Monohordi, Narshingdi and Additional Divisional Commissioner in Sylhet Division.



Monowar Islam, ndc
Director

Directors' Profile

Mr. Khandker Anwarul Islam is the Secretary, Bridges Division, Ministry of Road Transport & Bridges and the Member of Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 15 December 2011.

Mr. Islam joined in Civil Service of Bangladesh in 1983 and worked in various capacities both at field and central level. He worked in various Development Projects funded by the World Bank, UNFPA, ADB, CIDA, DGIS, UNDP and other development partners as DD, DPD, Project Director and National Project Director.

Mr. Khandker Anwarul Islam earned his BSS (Hons) and MSS in Social Welfare from University of Dhaka. He holds a Post Graduate Diploma in Development Planning. He successfully completed a number of foreign training in Project Management, HRD Skills for Functional Managers, Private Sector Seed Management etc.



Khandker Anwarul Islam
Director

Mr. A. R. M. Nazmus Sakib is an Additional Secretary of Finance Division, Ministry of Finance, Government of the People's Republic of Bangladesh and the Member of the Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) nominated on 03 October 2011. He has been playing a significant role in the overall function and decision making process of the organization. He was nominated as Director to the Board of IFIC Bank Ltd. on June 19, 2012 by the Ministry of Finance, Government of Bangladesh.

Mr. Sakib obtained MSc in Development Finance from University of Birmingham, UK; Certificates in Public Accounts and Audit from Chartered Institute of Public Finance & Accountancy, London, UK; Certificates in Project Planning and Management from University of Bradford, Bradford, UK; B.Sc (Hons) and MSc in Botany from University of Dhaka.

Mr. Sakib has expertise and professionalism in the field of Treasury and Debt Management of Government. He also worked as National Consultant (Budget Specialist) to give support to the officials of Budget wing, Finance Division, Planning Commission and Concerned Ministry. He also worked as Lead National Consultant (Budget Specialist), Financial Management Reform Programme (FMRP) to give support to the officials of Budget wing, Finance Division, Planning Commission and concern Ministry/Divisions to implement Medium Term Budget Framework (New Budget preparation process) and related other activities.



A. R. M. Nazmus Sakib
Director

Directors' Profile

Mr. Md. Atiquzzaman is the first Executive Director and CEO of Bangladesh Infrastructure Finance Fund Limited (BIFFL), joined on February 01, 2012. He is also the Ex-Officio Director of the BIFFL Board and is responsible for conducting day-to-day operation/business of the Company, under the overall supervision, guidance and control of BIFFL Borad.



Md. Atiquzzaman
Executive Director & CEO

Mr. Atiquzzaman started his career in Titas Gas T&D Co. Ltd., a pioneer and largest Natural Gas Transmission and Distribution Company of Bangladesh in 1984. Having more than 30 years of corporate experience in Energy Infrastructure Sector and Financial sector, he has obtained considerable experience in the fields of Pipeline & Facilities Design, Procurement, Construction, Operation & Maintenance, Flow Control & Measurement, Load Management, Techno-economic Feasibility Study, Budgeting & Financial Management. He has successful track record of implementing various Donor-funded and GoB-funded Infrastructure projects as "Project Director", where he has gained expertise in Project Planning & Implementation, Project Monitoring & Evaluation, Financial Management, Contract Negotiation and Administration. Besides, Mr. Zaman also involved in different Project Financing Process with different International Development Partners.

He has graduated in Mechanical Engineering from Bangladesh University of Engineering & Technology (BUET), Dhaka in 1983 and did his MBA in Finance from the University of Dhaka. He was actively involved in preparation of "Gas Sector Master Plan", as a member of the Steering Committee formed by the Government of Bangladesh. He was also a member of the study team responsible for conducting "Tech-economic Feasibility Study for supply of Natural Gas to the Western region of Bangladesh".

Mr. Atiquzzaman was actively involved in different socio-economic and sports activities. He represented BUET in the Inter-University and National Basketball Tournaments and played in Dhaka Metropolitan Basketball League for several years for different renowned teams.

During the tenure of his career, he attended a number of Professional Trainings/Workshops/ Seminars at home and abroad. He is a Life Fellow of the Institution of Engineers, Bangladesh (IEB), Life Member of the BUET Alumni Association and Vice-President of the Dhaka University MBA Association.

Board Secretary

Mr. Mohammad M. Khan has been appointed in Bangladesh Infrastructure Finance Fund Ltd., (BIFFL) as Company Secretary in August 2014. As Duty he is responsible to perform and look after the overall Legal, Statutory & Compliance Issues of the Organization. As well, he is to work in the function of the Board / Shareholders and the Statutory Communication and Public Relations of the Organization.



Mohammad M. Khan
Company Secretary

Covering 21 years of Academic and Professional studies, Mr. Khan exposes himself as a Qualified Chartered Secretary (ACS) a Business Graduate (MBA, Finance & Banking System) and also an Educated & Qualified Accountant (M.Com). Besides, during the tenure of his career he attended number of Professional Trainings, Workshops, CPD Programs, Seminars and Dialogues. He is also the Associate Member of the Institute of Chartered Secretaries of Bangladesh (ICSB) and the Association of Accounting Technicians of Bangladesh (AATB).

Having more than 12 years of multi-tasking Corporate Experience Mr. Khan worked in the area of Spinning, Agriculture, Chemicals, Automobiles, Real Estate & Investment, Insurance, Food and Toiletries and also Telecommunication sector.

He is proficient in the Corporate Secretarial Affairs and Governance; Corporate Accounts, Financial Management & Capital Structuring Corporate Taxation and Administration.



BIFFL TEAM





TEAM

T Together
E Everyone
A Achieves
M More

Chairman's Statement



Mahbub Ahmed
Chairman

BIFFL Board has approved four projects, out of which financial agreements have been signed with two projects. Moreover, a significant number of projects are under pipeline. BIFFL has so far disbursed in one Power project.

Dear Shareholders,

It is my privilege to present you the financial results of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for FY 2013 period ended December 31, 2013.

The year of 2013 was the significant year for BIFFL, The Company got some momentum in terms of its Operations and capacity Building.

It is known to us that BIFFL was created to energize Public Private Partnership (PPP) projects, to accelerate infrastructure investments, and to contribute economic growth of the Country. In the backdrop of a challenging business environment causing new concept development of PPP, a slowdown in the implementation of infrastructural projects in nature, BIFFL became able to show its presence to the investment community.

The Board of BIFFL has approved four projects so far and financial closure agreements have been signed with two projects. Moreover, a significant number of projects are under pipeline. The Company has already disbursed 100 crore to Sinha Peoples Energy Limited.

During the financial reporting period, revenue was lonely generated from interest income from Fixed Deposit Receipts (FDR). Total Revenue and Profit before Tax for the period were BDT 227 Crores in 2013 and BDT 212 Crores in 2012. As a result, Earnings per Share (EPS) stood at BDT 7.97 per share face value BDT 100 each.

The Company has made a significant progress in Capacity Building. The company has now own office allocated by Directorate of Govt. Accomodation, Ministry of Housing and Public Works. BIFFL has the small workforce who are dedicated and hard working and good logistic supports for the workforce.

BIFFL feels a lot of challenges in years ahead. The Company is trying to leveraging skills and resources with different multilateral agencies like JICA, IDA etc. and regulators like Bangladesh Bank.

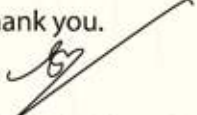
Once the economy shifts to higher growth trajectory, the demand for infrastructure will increase which indicates ample opportunities for business expansion. With its increasing role in financing infrastructure Projects in the Country, the Company expects to consolidate its position amongst the financial intermediaries providing financial assistance to infrastructure sector.

I must take this opportunity to acknowledge the guidance and support provided by the Hon'ble Finance Minister, Senior Secretary, Prime Minister's Office; Secretary, EMRD of MoPEMR; Secretary, Power Division of MoPEMR; Secretary Road Transport & Highways Division of MoRTB; Secretary, Bridge Division of MoRTB; Additional Secretary (TDM), Finance Division of MoF; PPP Office, PPP Unit of MoF. The guidance and the support provided by Bangladesh Bank, IIFC, IDCOL, PPP office and the statutory Auditors are acknowledged by the Company.

Last but not the least, I would like to thank all Directors, Management, Employees, Partners, Clients, Business Associates, and all Stakeholders and well-wishers for their unstinting support through this challenging period. I look forward to your continued support in the years ahead.

The Company is trying to build as a strong catalyst in the promotion and development of infrastructure and I am confident that BIFFL will emerge as an important financial intermediary in providing innovative financial solutions to the infrastructure sector.

Thank you.


Mahbub Ahmed
Chairman

CEO's Statement

Management Discussion and Analysis



Md. Atiquzzaman

Executive Director & CEO

Management Discussion and Analysis is an integral part of understanding of operations and financials of the Company. This has been prepared following the requirements of Companies Act 1994 and Bangladesh Bank Regulations and Guidelines. It covers general economic conditions in Bangladesh, overview of business operations, internal control systems, financial results and other key developments during the reporting period. Some statements in this discussion describing projections, estimates, expectations or outlook may be forward looking within the meaning of applicable laws and regulations of Bangladesh. Forward-looking statements are based on certain assumptions and expectations of future events. The Company cannot guarantee that these assumptions and expectations are accurate or will be realized. The Company assumes no responsibility to publicly amend, modify or revise forward-looking statements on the basis of any subsequent developments, information or events. Actual results may however differ materially from those stated on account of various factors such as changes in government regulations, tax regimes, economic developments, exchange rate and interest rate movements etc.

Importance of Infrastructure Development for Bangladesh

- **Sustainable Economic Development:**

The importance of infrastructure for sustained economic development and improving the living standards of millions of people of Bangladesh does not need any elaboration.

- **Realization of full economic growth:**

Yet, millions of people, across the Country lack access to roads, transport, electricity, safe drinking water, and proper sanitation and communication facilities, which prevents the economies from realizing their full growth potential.

- **Improved Living Standard for People:**

The urgency for investment in infrastructure is very high for improving living standard of the people of Bangladesh.

- **Remove insufficient investment in infrastructure:**

The main reason for infrastructure-related shortcomings is highly insufficient investment.

- **Achieve enviable economic growth like other Asian economies:**

The Asian economies that have been successful in achieving enviable economic growth have made substantial capital investment in infrastructures.

- **Increase contribution of Infrastructure investment in GDP:**

But the annual capital investment in infrastructures in Bangladesh compared to its GDP has been extremely low.

Necessities of Public Private Partnership (PPP) in Bangladesh

- **Build Middle Income Bangladesh:**

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure and supporting the realization of 'Vision 2021' to become a country of middle income economy.

- **Escalating Targeted GDP Growth Rate:**

In order to achieve this goal, Bangladesh is targeting the GDP growth rate to be raised to 8% by 2015 and then 10% by 2017, which will be maintained till 2021. Bangladesh is seeking to make a step change in its investment in infrastructure, rising from 2% to 6% of GDP.

- **Growth of Investment to GDP:**

Also the share of investment to GDP needs to be raised to 35-40 percent. At present average investment GDP ratio is 24-25 percent, which is lower than the national savings ratio; One estimate suggests that, in order to sustain GDP growth rate of 8 percent in 2015 and beyond requires additional USD 28 billion or BDT 1.96 trillion for Sixth Five Year Plan Period (i.e. 2010-2015).

- **Participation of Private Sector:**

Government alone can hardly achieve such investment objective. It has to draw resources from the domestic private and foreign sources. To reduce the investment deficit, participation of the private sector through Public Private Partnership (PPP) is an important route.

- **PPP-a Unique Window:**

PPP is being considered world-wide as a unique window for development of infrastructure sector for countries like Bangladesh.

Public Private Partnership (PPP) History in Bangladesh

Old shaped PPP Existence

A number of examples of working with the private sector exist. (e.g. Birdem Hospital, Maa O Shishu hospital, KAFCO etc.)

- **In 1996** : Govt. adopted a Private Sector Power Generation Policy to promote private sector participation.
- **In 1997** : Creation of Government institutions i.e. IDCOL, IIFC etc. to support private sector investment.
- **In 2004** : Infrastructure Guidelines issued to boost individual investment in the development and maintenance of infrastructure and Committee (PICOM) set up to oversee PPP activities
- **In 2007** : A 5 year term Investment Promotion and Financing Facility (IPFF) endowed with BDT 4.18 billion was set up by Bangladesh Bank to finance govt. approved PPP based infrastructure development projects.
- **In 2008** : Policy to promote private sector participation in power sector was formulated.
- **BIFFL Formation** : Formation of BIFFL to finance infrastructure projects
- **2010** : Approval of "PPP Policy & Strategy, 2010" and gazette
- **Introduction of Public Private Partnership (PPP) Budget**

The Government recognizes that strong Public Private Partnerships can play a catalytic role in mobilizing additional resources as well as creating additional capacity & help for implementing public programs. Accordingly, Government has put emphasis on PPP to ensure expeditious development of public services. With a view to promoting an attractive environment for sustainable private investment, for the first time in the country, the Government through its National Budget of FY 2009-2010 initiated a new budgetary modality by introducing the PPP Budget in addition to the traditional Revenue Budget and the Annual Development Programme (ADP). This is a very strong statement and commitment for the development of PPP in the Country. The PPP budget aims to provide support for

- (1) upfront development of PPP projects – through PPP Office under Prime Minister's Office;
- (2) create a mechanism for targeted subsidies, i.e. VGF– through PPP Unit under Ministry of Finance; and
- (3) set long term financing of PPP projects through BIFFL.

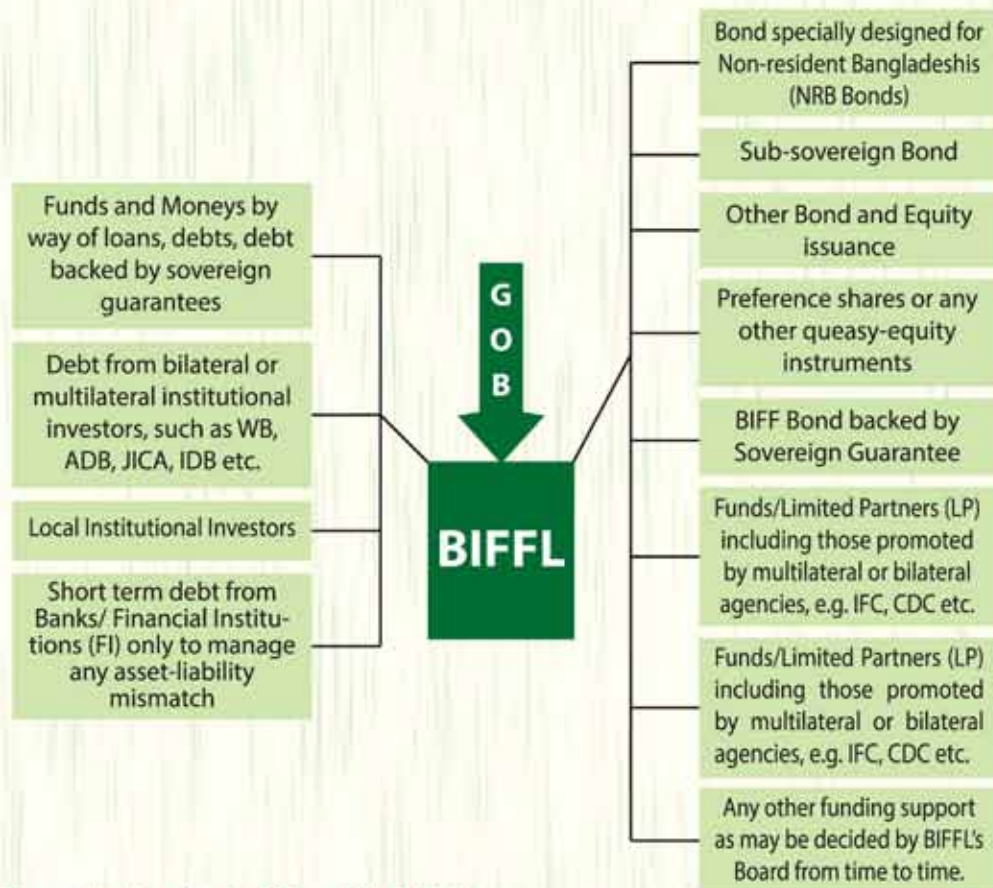
● Establishment of BIFFL

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company registered under Companies Act, 1994 and incorporated on 21 March 2011. The Authorized and Paid-up capital of BIFFL is BDT 100 (One hundred) billion and BDT 16 billion respectively. BIFFL was the largest Paid-up capital Company at the time of its incorporation. BIFFL also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-bank Financial Institution (NBFI) under the Financial Institutions Act, 1993.

The main objective of BIFFL is to provide predominantly long-term financing for Public Private Partnership (PPP) projects through lending, issuance of bonds and debt instruments and equity offerings.

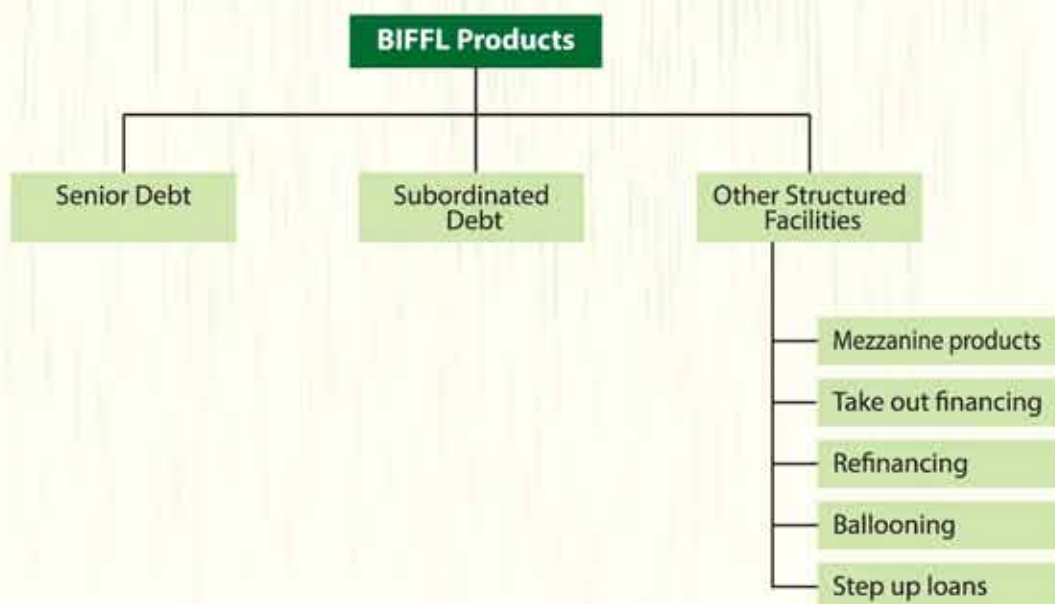
Sources of Fund of BIFFL

BIFFL will receive and accept funding support from the Government of Bangladesh and/or any other source, whether foreign or local, including official or semi-official development sources, as follows:



Types of Financing Products Offered by BIFFL

BIFFL may extend loan on a non-recourse, limited-recourse or full-recourse basis.



- **Senior Debt:**

As a senior lender, BIFFL will generally be part of a syndicate of senior lenders which may include local and foreign commercial banks and financial institutions, multilateral and bilateral lending agencies etc. As a senior lender, BIFFL will have, along with other senior lenders, first claim on the project assets and cash flows as well as pari-passu security sharing with other lenders in the syndicate.

BIFFL would evolve several financial products over times that are relevant and desired by the infrastructure sector.

- **Subordinated Debt:**

BIFFL will also provide subordinated loans to projects, as required. In this case, BIFFL's claim will be subordinate to that of senior lenders but senior to any other claims including the equity holders in the project.

- **Other Structured Facilities:**

BIFFL will also provide structured facilities over time such as mezzanine products, take out financing, refinancing, ballooning, step up loans on a case to case basis. In such scenarios BIFFL's claim along with that of the senior lenders would need to be arrived at after discussions and consultations with the senior lenders.

Eligible Sectors for BIFFL Financing

BIFFL promotes, encourages and finance Private Sector Investment in all critical Infrastructure Projects/Sectors, but not limited to the following:

Power and Energy:

- Generation of power, energy, hydro-carbon exploration, hydropower, solar power and wind power;
- Production of biomass or biogas energy fueled by waste or processed by-products in a manner that does not denigrate the environment within the territory of Bangladesh;
- Transmission of energy within the territory of Bangladesh or
- beyond for the purpose of economic development of the country;



Natural Resource Development:

- Exploration, Production, Transmission and Distribution of Oil and Gas, Petrochemicals, Coal and other Mineral Resources;
- Oil refinery and production of LPG;



Fertilizer:

- Production of Fertilizer



Transportation System:

- Roads & Highways and Expressways including Mass Rapid Transport System;
- Bridges, Tunnels, Flyovers, Interchangers, City Roads, Bus Terminals, Commercial Car Parking etc.



Port Development:

- Sea, River and Land Port including Inland Container Terminals, Inland Container Depot and other related services;
- Deep Sea Port Development;



Air & Railway Transportation Projects:

- Airports, Terminals and related aviation facilities;
- Railway systems, Rolling stock, Equipment and facilities;



Telecommunication System:

- Cellular, Broadband, Satellite, Cable and Data Transmission, Networks and services including Information and Communication Technology;



Tourism:

- Basic and all necessary infrastructure related to tourism industry;



Utility & Environmental Management:

- Water supply and distribution, Sewerage and Drainage, Effluent Treatment Plants (ETP);
- Land reclamation, Dredging of Rivers, Canals, Wetlands, Lakes and other related facilities;
- Environmental, Industrial and Solid Waste Management Projects;



Green and Renewable Energy Efficient Projects:

- Solar Home System, Solar Mini Grid, Solar Irrigation Pumping System, Solar PV Assembly Plant Installation, Bio Gas Plant, ETP Production of Vermicomposting Fertilizer, Hydro-electric Power plant, PET Bottle Recycling plant, Solar Battery Recycling plant, LED Bulb production plant, Hybrid Hoffman Kiln (HHK)/Tunnel Kiln/Equivalent Technology based Brick field to reduce carbon emission.



Social and Industrial Infrastructure Projects:

- Economic Zone, Industrial estates and parks, City and Property Development, including services to support Commercial and Non-commercial activities;
- Social infrastructure, e.g. Health, Education, Human Resource Development, Research and Development, and Cultural facilities;
- E-service Delivery to citizens;
- as priority areas for development so as to support economic development activities; and any other sector determined by the BIFFL Board from time to time.



Poverty Alleviation Projects:

- Pourashava and village water supply, Remote area power supply systems, Rural gas supply, Rural internet projects;
- River passenger terminals/landing stations, Rural health services and hospital; and
- Irrigation and other agricultural services;



Urban & Rural Development Projects:

- Fisheries and Livestock Development Projects, Other urban, municipal and rural projects, that the Government views as priority areas for development so as to support economic development activities; and Any other sector determined by the BIFFL Board from time to time.



Restricted Sectors for BIFFL Financing

BIFFL will not lend to the following areas of businesses:

- Military Equipment/Weapons Finance;
- Tobacco sector;
- Finance of Speculative Investments, like lending to holding companies;
- Logging, Mineral Extraction/Mining, or other activity that is ethically or environmentally sensitive;
- Counter parties in countries subject to UN sanctions;
- Bridging Loans relying on equity/debt issuance as a source of repayment;
- Proposals relate to a sector or sub-sector where existing capacity is in excess of market demand; and
- Lending to Companies listed on CIB black list or known defaulters.

Credit Strategy of BIFFL

The following general policy governs the credit strategy of BIFFL:

Project Finance only within the geographic territory of Bangladesh complying with all applicable laws and regulations of Bangladesh.	Finance primarily to Clients who are involved in business activities having proven and successful track record of profitable business growth.
Preference given to PPP Office recommended projects under policy and strategy of PPP 2010	Prime consideration on debt repayment capabilities from cash flows of business operations with other aspects analysis
Security coverage varies based on factors and case to case basis	"Know Your Customer (KYC)" policy focused in loan processing
Support projects/investments related to innovative ideas, social, community and infrastructure development;	Priorities to profitable, technically sound, economically feasible environment friendly, and socially desirable credit applications;
Non-engagement with name lending based only on the general reputation of the Borrower.	Render total satisfaction to the customers through high standard of prompt customer services

Eligibility Criteria

In order to be eligible for funding from BIFFL, a project shall meet the following eligibility criteria:

- (a) BIFFL shall consider only those projects for financing which will withstand the viability test from the commercial and socio-economic viewpoints. Viable projects may also include those projects that will become viable after receiving "Viability Gap Financing (VGF)" from the Ministry of Finance, Government of the People's Republic of Bangladesh, as per approved "Guidelines of Viability Gap Financing for PPP Projects";
- (b) BIFFL will lend up to a maximum of 40 percent of the total project cost but will not exceed an investment amount of maximum US\$ 50 million for the first 3-4 loans and thereafter increase to US\$ 100 million with Board approval;
- (c) Any "For-Profit" or "Non-For-Profit" entity legally registered in Bangladesh or abroad at the time of submission of proposal (s) in response to Request for Qualification (RFQ) or Unsolicited Proposal (s) will be eligible to apply for BIFFL financing. However, at the time of contract signing, the foreign entity is required to be registered as a legal entity in Bangladesh;
- (d) The project shall be implemented (i.e. developed, financed and operated for the project term) by:
 - Public Sector Company, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the GoB, jointly or severally;
 - Private Sector Company, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the Private Sector and the Private Sector Company will be involved in the management for a period not less than the tenor of BIFFL loan;
- (e) A Private Sector Company not selected through a competitive bidding process would be eligible for direct lending by BIFFL only after the necessary statutory/ administrative approvals and clearances from relevant government agency/ authority have been obtained and may be funded only through the refinancing mode through other Banks and FIs, provided that-
 - The service to be provided by the infrastructure project is regulated and non-monopolistic in nature;
 - The project is being set up under an agreement with the Government or a Public Sector undertaking; and
 - Total lending for such private projects does not exceed 25 percent of the lending program of BIFFL in any Fiscal Year (FY).

- (f) Projects should be an integral part of the GOB's priority plan for the relevant sector/sub-sectors;
- (g) To ensure sponsor's commitment to the project, equity should represent not less than 20 percent of the total project cost;
- (h) Projects should meet GOB and BIFFL's Environmental and Social Assessment Criteria; and
- (i) The economic rate of return of the project should be at least 12 percent.

In case BIFFL Management needs any clarification regarding eligibility of a project, the same may be referred to the Board for appropriate directions.

Financing Limits

- a) Subject to restrictions of the Bangladesh Bank from time to time, the maximum limit of Single Borrower Exposure shall not exceed 25 (twenty-five) percent of BIFFL's equity/capital base; the maximum limit of Single promoter group exposure shall not exceed 35 (thirty-five) percent of BIFFL's equity/capital base; the maximum limit of a particular sector exposure shall not exceed 50 (fifty) percent of BIFFL's equity/capital base.
- b) BIFFL shall follow a cautious lending policy of Company's resources - whether equity funds or borrowed money. The Company will diversify its risks by spreading its portfolio of investment to a wide variety of sectors;
- c) In the first two years of operation, projects meeting the eligibility criteria can be funded on a first-come, first served basis. In later years, if need arises, funding may be provided based on an appropriate formula, to be determined by the appropriate authority that balances needs across sectors in a manner that will ensure broad-based sectoral coverage and avoid pre-empting funds by a few large projects;
- d) BIFFL will prefer to participate in the syndicated facility to diversify the portfolio and minimize the risk;
- e) In case of Syndicated Loan, where BIFFL is not an arranger, investment by BIFFL may be equal or higher than the amount invested by the arranger/lead financier (s) of the project, subject to approval from BIFFL Board; and
- f) These financial limits may be reviewed by the Board from time to time.

Security Parameters of BIFFL Loan

- Primary Security on Project Cash Flows and a charge on the Project Account (Escrow Account/Trust and Retention Account)
- Primary Security on project assets. In addition, advance repayment cheques, corporate and personal guarantees, insurance of assets etc. shall be considered;
 - An Escrow Account / Trust and Retention Account should be created with an appropriate water fall mechanism for drawdown;
 - Creation of a Debt Service Reserve Account with maintaining minimum balance of two quarters debt service payments;
 - Valuations of property by third party professional valuation firm; and
 - Rights into the projects through a tripartite agreement among the Borrower, BIFFL and the Govt. Concessioneering Authority.

Legal Interest Protection:

- Mortgaged documents vetted by the BIFFL's legal advisor (s);
- Registered Irrevocable General Power of Attorney to sell the property in question;

Cross Border Risk/Political & Sovereign Risk:

BIFFL will not finance any cross border projects. In case of foreign sponsors seeking credit facilities from BIFFL, a local project company needs to be formed and credit facilities can be extended only to the local company, with appropriate security package.

Lending Terms and Conditions

Foreign Currency Loans

- (a) BIFFL will not offer Foreign Currency Loans (FCL) unless BIFFL mobilizes foreign currency funds to on-lend. Loan tenure shall not exceed the tenure for which BIFFL has raised such funds. Currency Exchange risk should be passed on to the Borrower entirely. Interest rate charged to Borrower should mirror the variable benchmark rate used for BIFFL's borrowings. Foreign Currency Loans may be provided only for projects which have a natural hedge by way of income in foreign currency or projects which can bear adverse exchange rate fluctuation without affecting the viability or repaying capacity.
- (b) BIFFL will not expose itself and recommend its Borrowers to not take any foreign currency exchange rate exposure, unless there is a natural hedge that the business / project provide.
- (c) Interest rate:
 - For Senior Debt, a variable rate equal to the prevailing six month United States Dollar LIBOR plus minimum 400 basis points;
 - For Subordinated Loans, a variable rate equal to the prevailing six month United States Dollar LIBOR plus minimum 450 basis points;
 - A fixed rate based on the maturity of the loan and the market swap rate between variable and fixed interest rates for United States dollar debt at the time the loan is fully drawn, plus (a) a spread of minimum 400 basis points for senior loans; or (b) a spread of minimum 450 basis points for subordinated loans;
- (d) Final maturity in the case of a senior loan will be a maximum of fifteen (15) years including up to three (3) years grace period. For subordinated loans, final maturity will be a maximum of twenty (20) years, including up to five (5) years grace period; However, loan tenor and grace period may be relaxed on a case by case basis, as approved by BIFFL Board of Directors; but shall not exceed the concession period of the project. The tenure of foreign currency loans by BIFFL should in no case be any more than the tenure of the foreign currency funds that BIFFL has procured, and the endeavor would be to have a tail to manage any exigencies.
- (e) Principal and interest payable by the Borrower shall be determined in United States dollars and the payments thereof shall be determined in United States dollars or the equivalent in Taka of the US dollar-Taka exchange rate on the date payments are made;
- (f) In case of syndicated lending, BIFFL's spread plus fees will not be higher or lower than that of other lenders offering similar loans; and
- (g) As a prudent lender, BIFFL desires, and at times may require the Borrowers to enter into an interest rate hedge arrangement to prevent potential project cash flow shortages should LIBOR increase dramatically. Such a hedge may be arranged in the financial markets by Borrowers or by BIFFL itself.

Local Currency Loans

- a) BIFFL would define its Prime Lending Rate (PLR) or Base Rate based on “364 days Government Treasury Bill Rate”, to be assessed annually. All loans of BIFFL would be offered at a rate based on this Base Rate/PLR. Interest rate would be determined by its credit assessment and tenor of the loan. BIFFL will not offer any loan at a rate below the PLR. While lending to projects that earn revenues in local currency and cannot absorb foreign exchange rate risk without unduly endangering their operating gross margin or debt service coverage ratios, or while the source of BIFFL loan is in local currency, BIFFL loans will be denominated in local currency;
- b) The lending terms of Local Currency Loans of BIFFL shall be determined on the basis of either any one or all of the following:

(i) For medium and Large Infrastructure Projects:

- (a) Interest rate, on the basis of Market Conditions – would be determined by the credit assessment and tenor. In general, the Interest Rates of Local Currency Loans offered by BIFFL for commercially viable projects will be based on prevailing market conditions. However, BIFFL may offer a rate lower than the prevailing market rate considering the development impacts of specific projects. BIFFL will not offer any loan at a rate below the PLR; or
- (b) Interest rate, on the basis of “364 days Government Treasury Bill Rate” –

Bangladesh Bank’s Guideline on the Base Rate System for NBFI (DFIM Circular # 06, dated: 20 August, 2013) states that “the actual lending rates charged to Borrowers shall be the Base Rate plus the Risk Premium and the Tenor Premium. In other way, actual lending rates charged to Borrowers shall be the Cost of Funds plus Margin”.

It is proposed that the “364 day Government Treasury Bill Rate” is the Base Rate, and that the same is assessed annually, for each loan.

BB Guideline also states that the “Risk Premium should be set by the Financial Institutions based on the specific Borrower’s characteristics. Risk premium varies from Borrower to Borrower” and “Tenor premium is based on the tenor the loan facility extended to the Borrower. The premium should be set based on the specific loan tenor by the Financial Institutions.”

The proposed Risk Premium Determination matrix depending on the project Risk Grading is indicated below:

Sl. No.	Risk Grading	Short Name	Risk Premium
1	Superior	SUP	250 basis points
2	Good	GD	300 basis points
3	Acceptable	ACCPT	350 basis points
4	Marginal/Watch list	MG/WL	500 basis points
5	Special Mention	SM	500 basis points

The proposed Tenor Premium determination matrix depending on the loan tenor is indicated below:

Sl. No.	Loan Tenor in Years	Tenor Premium
1	Less than 5 years	200 basis points
2	5 ~ 8 years	250 basis points
3	8 ~ 11 years	300 basis points
4	11 ~ 15 years	350 basis points
5	More than 15 years	400 basis points

Considering, "364 days Government Treasury Bill Rate" as the Base Rate and adding appropriate Risk Premium and Tenor Premium, Actual Lending Rate of BIFFL Loan can be calculated.

- (c) In case of syndicated lending, BIFFL's interest rate could be lower than that of other lenders offering similar loans, in case the project benefits justify it, subject to approval of the Board and could be higher in case longer tenor is offered;

(ii) Financing through Refinance Scheme of Bangladesh Bank

- (a) BIFFL has signed 'Participation Agreement' with Bangladesh Bank on 10th October, 2013 to work in the Renewable Energy Sector by participating in the 'Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector' with a fund of "200 crore BDT" sponsored by Bangladesh Bank.
- (b) BIFFL has also signed 'Participation Agreement' with Bangladesh Bank on 03th June, 2014 to under "Financing Brick Klin Efficiency Improvement Project.
- (iii) In case of energy efficient and development projects having considerable environmental and social benefits, BIFFL may extend credit facilities at a concessionary rate, as approved by BIFFL Board of Directors.

Capacity Buidling of BIFFL

● **Dedicated Office for BIFFL:**

At present, BIFFL operates its business with full-fledged, dedicated and spacious office building at 4, Anjuman Mufidul Islam Road, Kakrail, Dhaka. The office is well equipped having Conference Room, Meeting Rooms, Workstations with sufficient logistics services.

● **Human Resources:**

Today, BIFFL has a good human resources pool. Presently, total human resources consist of 16 officers and 7 staffs. More people will join the fleet within short time. These peoples are capable with functioning of operations, administration, finance and accounts, legal, company secretariat etc.

● **Own Investment Team:**

BIFFL has built a strong, dedicated, and full-fledged investment team. The team is consisted with expertise, can handle clients and screening projects efficiently.

● **IT Service:**

BIFFL has good Information Technology system. The Company has own website with domain which helps investors, stakeholders and regulators to get information on time basis. Moreover, the Company owns email services, accounting software. In addition, the Company is looking for procuring good integrated loan software to strengthen its monitoring & enforcement services and sound financial system.

● **Internal control systems and their adequacy**

BIFFL is in the process to establish strong internal control structure across the value chain to ensure that all assets are safeguarded and protected against loss from unauthorized use or disposition; that transactions are authorised, recorded and reported correctly and that operations are conducted in an efficient and cost effective manner. For this purpose, the Company established different Management Committees i.e. Purchase Committees, Tender Evaluation Committee etc. along with Board Committees. The Company has created code of conducts for its management and employees.

● **Legal Penal:**

BIFFL has created a pool of legal experts with renowned legal firms. The Board of Directors approved a legal penal with 16 experts' legal professional practices firms. The Company get services case to case basis.

● **Due Diligence Resource:**

Now, BIFFL has resources for legal and technical purposes by which it can do due diligence projects of its own. In case of requirement, the Company takes outsourcing services for this. BIFFL has signed Memorandum of Understanding (MoU) with Infrastructure Development Company Limited (IDCOL), an entity under ERD, Ministry of Finance, to support BIFFL for conducting Due Diligence and Project Appraisals for eligible infrastructure projects for financing. BIFFL has signed an Agreement with IIFC to provide Technical Advisory services to BIFFL.

● **Training for Employees:**

The Company believes in building knowledge based human resources pool. For this purpose, BIFFL arranges different training program for its personnel hiring prominent experts in respective fields time to time. It also sends its human resources to participate in external training programs.

BIFFL Business Operation Review

● **Financial Closure:**

The Company has signed financial closure agreements with Regent Energy Power Limited (REPL) for establishing a 108 MW Gas fired Power Plant at Ghorashal; and with Sinha Peoples' Energy Ltd (SPEL) for establishing a 52.4 MW HFO fired Power Plant at Kathpotti, Munshiganj. Both companies has paid their due diligence and application fees.

● **Completion of Appraisal:**

The Credit team of BIFFL have already completed appraisal of another two large and medium sized projects, namely: (a) a 500-bed Multi Specialty Hospital of Impulse Health Services & Research Centre Limited. BIFFL Board approved the proposal to invest BDT 300.00 million in the project of Impulse, located at Tejgaon, Dhaka; and (b) setting up "PET to PET bottle Recycling Plant of Bangladesh Petrochemical Company Limited (BPCL). BIFFL Board approved the proposal to invest BDT 226.00 million in the project of BPC, located at Rugganj, Narayanganj.

● **Appraisal under Process:**

Appraisal of 5 (five) large and medium infrastructure projects and 4 (four) Renewable Energy and Environment friendly Brick Field Projects, are being under appraisal process by the Credit Team of BIFFL, having total project cost of approximately Tk. 176,230 million, in which BIFFL's expected participation is expected to be Tk. 18,205 million.

● **Concession Agreement of 08 (eight) projects, namely**

- a) Multi Model Surveillance System (radar etc.) at Hazrat Shahjalal International Airport;
- b) Flyover from Shantinagar to Dhaka-Mawa Road (Jhilmil) via 4th (new) bridge over Buriganga river;
- c) Upgrading of Joydevpur-Debogram-Bhulta-Madanpur (Dhaka By-pass) road (n-105) into 4-Lane;
- d) Oboshor: Senior Citizen Health Care and Hospitality Complex
- e) Mirpur Low cost housing complex
- f) 2 Jetties at Mongla Port;
- g) 40 beds Hemodialysis Center at Chittagong Medical College Hospital; and
- h) Hemodialysis Center vat National Institute of Kidney Diseases and Urology (NIKDU)

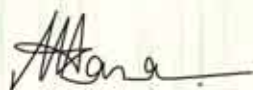
Are expected to be completed within December 2015

Outlook

- Offering varied service to Infrastructure Financing;
- Successful combination of the best of public and private sectors;
- Leveraging Financing sources of BIFFL;
- Adopt the best practices in Infrastructure Financing;
- Develop a highly professionally managed team to deliver services; and
- Achieving excellence in service, quality, reliability, and highly satisfied customers and stakeholders

The Company expects to sustainable consistent financing in large infrastructure projects and to contribute in National Development.

On behalf of the management of BIFFL,



Md. Atiquzzaman
Executive Director & CEO

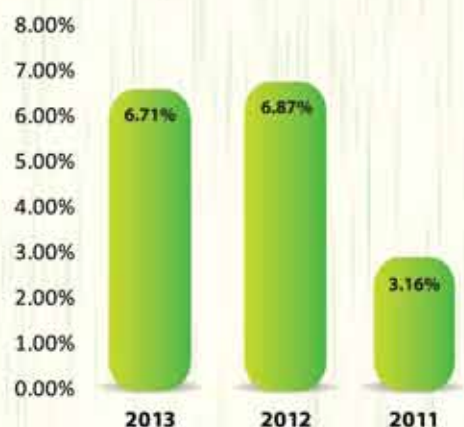
Three Year's Financial Performance

Particulars	2013	2012	2011
Financial Performance			
Total Asset	21,248,758,744	19,029,530,833	16,908,063,106
Total Liabilities	2,231,179,808	1,287,935,012	386,005,661
Current Asset	21,241,669,155	19,020,844,675	16,908,063,106
Current Liabilities	2,231,179,808	1,287,935,012	386,005,661
Net Current Assets	18,469,491,663	17,402,452,802	16,385,427,695
Operational Performance			
Operating Income	2,257,274,260	2,155,425,308	909,173,389
Operating Expense	38,171,923	34,489,003	1,247,397
Financial Expense	-	-	-
Profit Before Provision	2,219,102,337	2,120,936,305	907,925,992
Total Provision	-	-	-
Profit Before Tax	2,219,102,337	2,120,936,305	907,925,992
Provision for tax	943,118,493	901,397,930	385,868,547
Net Profit After Tax & Provision	1,275,983,844	1,219,538,375	522,057,445
Financial Ratios			
Debt Equity Ratio (Times)	-	-	-
Current Ratio (Times)	10	15	43
Return on Assets (%)	6%	6.41%	3.09%
Return on Shareholder's Equity (%)	6.71%	6.87%	3.16%
Earnings per Share (BDT)	7.97	7.62	3.26
Equity Statistics			
Number of Shares (No.)	160,000,000	160,000,000	160,000,000
Paid up Capital (BDT million)	16,000,000,000	16,000,000,000	16,000,000,000
Shareholder's Equity (BST million)	18,987,864,973	17,741,595,821	16,522,057,445

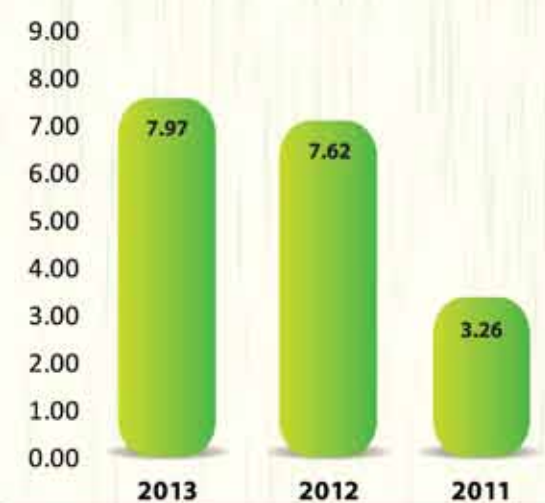
Financial Ratios



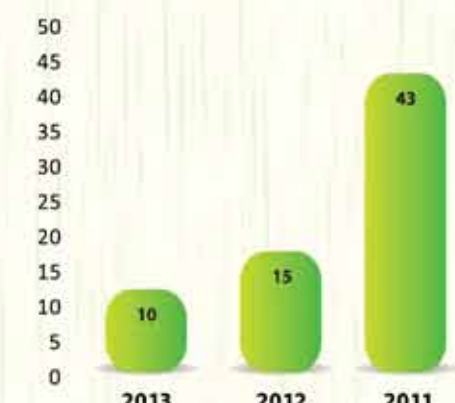
Return on Assets (%)



Return on Shareholder's Equity (%)



Earnings per Share (BDT)



Current Ratio (Times)

Directors' Report

Dear Shareholders,

The Board of Directors of Bangladesh Infrastructures Finance Fund Limited (BIFFL) is contented to present the Annual Report for the year 2013 based on the operational activities as well as the financial transactions and its impacts during the year ended December 31, 2013. This report is prepared in compliance with section 184 of the Companies Act 1994, the applicable regulations of Bangladesh Bank, Bangladesh Accounting Standards (BAS) and Financial Reporting Standards (BFRS).

Operational Performance Of Biffl

Bangladesh Infrastructures Finance Fund Limited (BIFFL) is a public limited financial organization under the control of Ministry of Finance, Govt. of Bangladesh. In line with the purpose of formation of this organization it is to provide long-term financing in principle through Lending, Issuance of Bonds and Debt Instruments and Equity offerings. BIFFL has been playing a pivotal role in the national development of Bangladesh through financing Public Private Partnership (PPP) Infrastructure Projects. BIFFL envisages attracting Private Investments from local and foreign investors and investing in companies that are implementing infrastructure projects in Bangladesh. It promotes national development by leveraging relative strengths of public and private sectors through financing PPP projects.

The main sectors of financing are Power & Energy, Natural Resources Development, Transportation System, Port Infrastructure Development, Air & Railway Projects, Utility & Environment Management, Telecommunication, Green & Renewable Energy Efficient Projects, Tourism etc.

Financial Out Come & Position

The Company has completed and closed its financial year-2013 and also audited the financial transaction and records with financial results by the external auditor as per Law & Regulations.

The summary of financial results of the Company for the year ended December 31, 2013

Amount in Million

Particulars	Note	Yr. 2013	Yr. 2012	Changes in %
Interest Income (FDR & SND A/C)	24	2,257.27	2,155.43	4.73% Increased
Operative Expenses	25-34	38.17	34.49	10.68% "
Profit Before Income Tax		2,219.1	2,120.94	4.63% "
Provision For Income Tax	14.1 / 36	943.12	901.4	4.63% "
Net Profit After Tax & Provision		1,275.98	1,219.54	2.19% "
Transfer to Statutory Reserve	17	24.93	24.4	2.16% "
Earnings Per Share (EPS)		Tk. 7.97	Tk. 7.62	4.59% "
Authorized Capital	15	100,000.00	100,000.00	-
Paid up Capital	15	16,000.00	16,000.00	-
Statutory Reserve	17	597.57	348.32	71.56% Increased
Retained Earnings	19	2,390.29	1,393.28	71.56% Increased
Fixed Assets	9	7.09	8.69	4.59% Decreased due to Depreciation

Net Profit After Tax & Provision
(BDT In Million)



Operating Expense
(BDT In Million)



Approved Projects Of Biffi

The Board of Directors of BIFFL has approved three (04) large and medium sized Infrastructure projects, namely:

- a) 108 MW Gas fired Power Plant at Ghorashal for BDT 1000 million
- b) 52.4 MW HFO fired Power Plant at Munshiganj for BDT 1000 million
- c) 500-bed Multi Specialty Hospital at Tejgaon, Dhaka for BDT 300 million
- d) PET Recycling Plant of BPCL at Rupganj, Narayanganj.

Alternative Sources Of Fund

The growth of Company's portfolio against financial assistance has led to increased funding requirements in years ahead. The organization has been continuing correspondence and discussion for sourcing alternative finance like fund from developing agencies i.e. JICA, ADB, World Bank etc. The Company also trying to attract the NRB fund as substantial source of BIFFL Find. Besides, BIFFL has other options like issuing Bond, Equity financing through capital market etc.

Human Resources

The BIFFL Board believes and considers that the Human Resource is a key driver of the organization which must be efficient, skilled and competent to perform toward the objective of the organization. With that values the Board has approved some recruitment of senior, middle level and junior level management staffs and the management has completed the recruitment process. The employees have been recruited on basis of meritocracy and qualification in a very transparent way.

The BIFFL Board and Management also prioritize the continuous development of professional skill, knowledge and expertise of the employees and stuffs.

Policies of BIFFL

Credit Policy

BIFFL has devised primarily the most important document for its operation - the Credit Policy. It has been approved by BIFFL Board of Directors in its 13th meeting held on 18th September, 2013 and already in effect. It has specified areas and guidelines for large, medium and small scale investments. The credit policy covers the credit strategy for investment, eligible criteria for investment, financing limits, Security Parameters for Loan fees and others etc.

Human Resource Policy

BIFFL Management has already formed a committee to formulate the Human Resource Policy of the organization. This committee is to produce a draft Human Resource Policy in consideration of HR principles, Labor Codes applicable in Bangladesh and the HR practices in the relevant industry in the country. After approval of that policy the management will organize a workshop soon for employee awareness and adoption of that policy.

Code Of Conduct

In order to ensure organizational behavior and discipline BIFFL management has been working to formulate a CODE OF CONDUCT for management, employees and the staffs. The Company is committed to establish the code of conduct and shall ensure abidance of that codes time to time basis. This will strengthen discipline of the company.

The management also committed to establish some other policies to boost up the operational activities maintaining functional discipline and procedures. i.e-

- Customer Acceptance Policy
- Procurement Policy
- Risk Management Policy

Investment And Fund Management

Initially, there was option for Fund Manager for investments at the creation of BIFFL. Later, this option has been changed. BIFFL has received professional consultancy services from four renowned consultants under the assistance and sponsorship of Asian Development Bank up to tenure of June 30, 2014 for one year. Three of the consultants are from abroad and one from local resource. The Company has benefited from their services.

Shareholding Patern

Particulars	Number of shares held as of 31 December		
	2013	2012	2011
Ministry of Finance	159,999,984	159,999,984	159,999,984
Secretary, Finance Division, Ministry of Finance & Chairman, BIFFL Board	10	10	10
Secretary, Prime Minister's Office & Director, BIFFL Board	1	1	1
Secretary, Power Division, Ministry of Power, Energy & Mineral Resources & Director, BIFFL Board	1	1	1
Secretary, Energy & Mineral Resources \ Division, Ministry of Power, Energy & Mineral Resources & Director, BIFFL Board	1	1	1
Secretary, Roads Transport & Highways Division, Ministry of Road Transport & Bridges and the Director, BIFFL Board	1	1	1
Secretary, Bridges Division, Ministry of Communication & Director, BIFFL Board	1	1	1
Additional Secretary (TDM), Finance Division, Ministry of Finance & Director, BIFFL Board	1	1	1

Board Of Directors

The Board of BIFFL consist of eight (08) members. Seven members are nominated by Government from different Ministries. Executive Director and CEO is the ex-officio Director of the Board. .

As per Article of Association of the Company [clause -101] Chief Executive Officer (CEO) is to conduct the day to day business of the Company and to discharge his duties and responsibilities under the overall supervision and control of the Company's Board of Directors.

During the period of the year 2013, the following directors / members of the Board have been changed due to nomination / replacement by the Government –

Succession of Directors

Not in the order of Seniority-

Name of Directors	on 21 Mar 2011	As on 30 Aug 2012	As on 29 Aug 2013	Current Status
Dr. Mohammad Tareque	Appointed	Ceased on 01/08/2012	Ceased	Ceased
Mr. Molla Waheduzzaman	"	Continued	Continued	Ceased on 10/02/2014
Mr. Abul Kalam Azad	"	Continued	Ceased on 08/05/2013	Nominated on 10/02/2014
Mr. Mohammad Mezbah Uddin	"	Continued	Ceased on 08/05/2013	Ceased
Mr. Md. Mozammel Haque Khan	"	Ceased on 15/12/2011	Nominated on 08/05/2013	Ceased on 19/08/2014
Mr. Mosharaf Hossain Bhuiyan	"	Ceased on 15/12/2011	-----	Ceased
Mr. Mohammad Muslim Chowdhury	"	Ceased on 03/10/2011	-----	Ceased
Mr. M.A.N Siddique	-----	Nominated on 15/12/2011	Continued	Continued
Mr. Khandakar Anwarul Islam	-----	Nominated on 15/12/2011	Continued	Continued
Mr. A.R.M Nazmus Sakib	-----	Nominated on 03/10/2011	Continued	Continued
Mr. Fazle Kabir	-----	Nominated on 01/08/2012	Continued	Ceased on 19/08/2014
Mr. Monowar Islam,ndc	-----	-----	Nominated on 08/05/2013	Continued
Mr. Mahbub Ahmed	-----	-----	-----	Nominated on 19/08/2014
Mr. Md. Abubakar Siddique	-----	-----	-----	Nominated on 19/08/2014

Board Meeting And Attendance

During the period of the year 2013, 05 Board meeting were held. The attendances of Board of Directors in those meeting are as follows-

Director	Number of Meeting	Director	Number of Meeting
Mr. Molla Waheduzzaman	-*	Mr. Mohammad Muslim Chowdhury	00
Mr. Abul Kalam Azad	-*	Mr. M.A.N Siddique	05
Mr. Mohammad Mejbahddin	-*	Mr. Khandakar Anwarul Islam	05
Mr. Md. Mozammel Haque Khan	03	Mr. A.R.M Nazmus Sakib	05
Mr. Mosharaf Hossain Bhuiyan	-*	Mr. Fazle Kabir	05

*Leave of Absence of the Directors have been granted by the Board accordingly

Appointment Of Directors

During the year 2013 the following Directors have been appointed as per the nomination by Government.

Name	Date of Appointment	Profile
Mahbub Ahmed	19 Aug, 2014	Provided
Md. Abubakar Siddique	19 Aug, 2014	Provided
Monowar Islam Khan, ndc	08 May, 2014	Provided

Directors Rotation

According to the clause 79 – 80, 1st schedule of Company Act 1994 the one third (1/3) of the Directors who are senior most in terms of tenure of directorship in the Board, BIFFL are to retire by rotation in the ensuing 3rd Annual General Meeting 2013. In this respect the following directors are going to retire as per Clause 79-80 and also eligible to be re-elected as per the clause 81, 1st schedule of Company Act 1994.

Retiring Director:

1. Mr. M. A. N. Siddique, Secretary, Roads Division, MoC and the Director, BIFFL.
2. Mr. Khandker Anwarul Islam, Secretary, Bridges Division, MoC and the Director, BIFFL.
3. Mr. Monowar Islam, Secretary, Power Division, MoPEMR and the Director, BIFFL.

Board Committees

The Board of Directors constituted two (02) committees i.e. Executive Committee, Audit Committee as sub-committees of the board with consisting of different board members vide Board Meeting dated on 19th August, 2014. The Board also noted on formation of different committees like Risk Management Forum, Core Risk Committee, Purchase Committee, Tender Evaluation Committee etc.

Appointment Of Company Secretary

The Company has appointed Mr. Mohammad M. Khan, ACS as Company Secretary of the organization to perform and look after the overall Legal, Statutory & Compliance issues. As well the function of the Board / Shareholders and the statutory communication and public relationship of the organization. Career profile in brief already Provided.

Appointment Of External Auditors

The Existing Auditors of the Company, M/S. A. MATIN & COMPANY & CO. Chartered Accountant is to retire in the ensuing 3rd Annual General Meeting. M/S. A. MATIN & COMPANY & CO has been performing as Auditor for the last 03 years, since the year 2011. The remuneration of Auditors is Tk. 50,000/- for the year 2013.

According to the Direction of Bangladesh Bank, FID Circular No- 03, dated on 02-03-1999 **‘NO AUDIT FIRM (CHARTERED ACCOUNTANTS FIRM) CAN BE APPOINTED AS AUDITOR FOR MORE THAN THREE (03) CONSECUTIVE YEAR’**

In compliance of that directive stated above, a new auditor has to be appointed in the ensuing AGM. In this respect a list of Auditors (recognized as 'A' category by Bangladesh Bank) placed before the 17th meeting of Board of Directors held on 19th August 2014 with their expected fees for Board consideration. In consideration of the quality of works, market reputation and audit fees the Board recommended S. F. AHMED & CO (SFACO), chartered Accountants and Tax & Management Consultants as Auditor for the year 2014 until completion of the Annual General Meeting for 2014 which is to place before the Shareholders in the 3rd Annual general Meeting for approval.

Regulatory Compliance

BIFFL has complied all rules, regulation of regulators such as RJSC, Bangladesh Bank etc. The management submitted compliance reports to regulators particularly Bangladesh Bank. The Board has formed two committees i.e. Executive Committee, Audit Committee according to guideline of Bangladesh Bank. The management also formed Integrity Committee (স্বচ্ছতার কমিটি) as per Bangladesh Bank requirement. Those committees have been performing accordingly with their terms of reference.

Dividend And Clarification

During the year 2013 the company earned Tk. 1275.98 million after Tax and statutory provision. The accumulated profit after tax stands at the end of the year 2013 Tk. 2390.29 million which has been derived mainly from FDR Interest. This amount of earned interest has been added to the funding capacity of the organization.

During the year 2014 the Company has started its financing in approved projects⁵⁵ as a part of its core business. BIFFL management and the Board of Directors are expecting income from its core business from the year 2014. To expedite its financing capacity as well as to expand its business the Board of Directors recommended keeping the earning for the year 2013 and also the previous balance of earnings in the accounts of Retain Earning rather than issuing any dividend to the shareholders. The Management has considered it financially prudent in the long-term interests of the Company to reinvest the interest revenue income into the business of the Company to build a strong reserve base and grow the business of the Company.

We Report that:

1. The Financial Statements prepared by the Management of the company presents the Company's State of Affairs, the Results of its Operations, Cash Flows and Changes in Equity.
2. Proper Books of Accounts of the Company are maintained.
3. Appropriate Accounting Policies have been consistently applied in preparation of the Financial Statements and the accounting estimates are based on the reasonable and prudent judgment.
4. International Accounting Standard (IAS), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there has been adequately disclosed.
5. The system of financial control is sound in design and has been effectively implemented and monitored.
6. There is no significant doubt upon the company's ability to continue as Going Concern.
7. The key operating and financial data for the last 03 years at a glance is provided.
8. The Management has recommended 'no dividend' for the year 2013.
9. During the year 2013 (as on 31st December) the Board of directors held 05 Meetings and the Directors have served the Board attending almost 100 percent.
10. The pattern of share holding of BIFFL is 100% Govt. owned as on 31 December, 2013.

Acknowledgement

The Members of the Board of Directors would like to take this opportunity to express their heartfelt thanks to all shareholders and also the other stakeholders such as Regulatory Bodies, Auditors, Client & Customers, Banks and financial institutions, Employees & Staffs, Business Associates for their immense support and contribution towards the success of the Company.

On behalf of the Board of Directors,

Mahbub Ahmed

Chairman, BIFFL



Statement of Risk Management

Risk is the uncertainty of attaining desired return or possibility of loss that prevail in any business transaction by internal or external factors. Risk management is an integral part of any organization's strategic management. Risk management includes the adoption of some effective tools (risk identification, analysis, assessment, control, and avoidance, or elimination of unacceptable risks) to strengthen the ability of an organization to cope with the unexpected change of the complex business environment in which it operates.

BIFFL always concentrate on delivering high value to its stakeholders through optimum trade off between risk and return. A well structured and proactive risk management system is in place within the Company to address risks relating to credit, market, liquidity and operations. The Company has different committees for risk management and appropriate internal control measures are also in place to mitigate risk.

Major Risks at BIFFL:

Credit Risk

Credit risk is the possibility that a borrower or counter party will default to meet agreed obligations and commitments. Credit risk is the most significant and inherent risk in business of BIFFL. Credit Risk Management as one of the core risk is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed and appropriate due diligence are carried out in appraising and subsequent approving new credit facilities. Credit Risk Grading (CRG) is an important tool for credit risk management as it helps the BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL.

At BIFFL credit risk may arise in the following forms:

- Default Risk
- Concentration Risk
- Exposure Risk
- Recovery Risk
- Country Risk
- Political Risk
- Legal Risk
- Security Risk
- Relationship Risk
- Social & Environmental Risk

Market Risk

Market risk refers to the fluctuations of market variables such as interest rate, price of market securities, foreign exchange. BIFFL has no exposure in Capital Market and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury Division manages interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising Senior Management of BIFFL.

Liquidity Risk

Liquidity risk is the risk that the FIs may not meet short term financial obligations as they become due. This arises from the adverse mismatch of maturities of assets and liabilities. Liquidity risk also includes its ability to liquidate any assets at reasonable price in a timely manner. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in term of its assets and liabilities. But it exposes

liquidity risk of converting its fixed deposit into cash at reasonable price in time. The Treasury Division manages the liquidity risk with oversight of Asset-Liability Management Committee (ALCO) comprising Senior Management of BIFFL.

Operational Risk

Operational risk is the potential loss arising from the failure of company's systems and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay to perform. Operational risk may also arise from the following factors:

- Money laundering and terrorist financing
- Shortcomings of organizational structure
- Turnover of trained employees
- Leakage of sensitive information
- IT Security
- Changes in statutory requirements
- Changes of Govt. law
- Technological obsolescence

BIFFL risk management Framework

In compliance of the DFIM Circular Letter No. 01, dated: April 07, 2013 issued by the Department of Financial Institution and Markets (DFIM) of Bangladesh Bank, BIFFL management has formed the "Risk Management Forum" and "Risk Analysis Unit" in order to manage all the risks in a prudent and organized way.

An overview of BIFFL risk management process is depicted through the following flow chart:



Flow Chart: Risk Management Cycle at BIFFL

Integrating risk management policies into the Company's core values:

BIFFL is to be a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices keeping high the ethical values and maintaining of transparency in all activities in order to promote Country's sustainable economic development by facilitating and encouraging Private Sector Investment in all infrastructural projects. BIFFL believes in sustainable growth which is ensured through appropriate trade off between risk and return. In addition BIFFL is preparing guidelines for managing core risks of financial institutions issued by Bangladesh Bank vide BFID Circular No. 10 dated September 18, 2005 for management of risks which will be ultimately approved by BIFFL Board very soon.

Managing Values via Actions

To ensure prompt and accurate service and mitigation of credit risk, the approval process is now single stage i.e. at present all projects are approved by the Board of Directors of BIFFL. Depending on the size of the loan, multilayer approval process will be introduced soon after approval from the Board of Directors of BIFFL.

BIFFL also believes in diversification in terms of products and sectors. Sector allocation has already been passed by the Board of Directors of BIFFL to overcome any adverse impact on the BIFFL's return. According to risk return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a-vis the world.

Performing Risk Analysis:

The Credit Risk Management Committee (CRMC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to counter associated risks. CRMC reviews the Due Diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the project which is to be financed.

An independent Credit Risk Management (CRM) Department is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify of risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stage of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL requires credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by CRM and CRMC to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL is going to establish Internal Control and Compliance Division (IC & CD) to address operational risk. IC & CD ensures that an appropriate framework exists to identify, assess and manage operation risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the Company regularly meets to assess the prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control interest rate risk.

Risk Reporting/ Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported to the top management of BIFFL. Afterwards risks are properly communicated to the Board of Directors by Board Audit Committee. In line with guideline of Bangladesh Bank for comprehensive risk management of the Bank, the Risk Management Division has been carrying out the following activities:

- a) all regulatory compliances related with Basel II
- b) all regulatory compliances related with Stress Testing
- c) all regulatory compliances related with CAMELS Rating of Bangladesh Bank
- d) all regulatory compliances related with comprehensive Risk Management Rating including preparation of monthly Risk Management Paper in line with the Bangladesh Bank's reporting format and informing the Board/ Risk Management Committee about major findings of Risk Management Paper for ensuring the regulatory compliances as per requirement.

Risk Treatment/Controlling

Risk treatment involves identifying options for treating or controlling risk, in order to either reduce or eliminate negative consequences or to reduce likelihood of an adverse occurrence. Risk treatment also aims to enhance positive outcomes.

Review and Monitoring of Risk Management

BIFFL risk management process requires review and monitoring structure to ensure the risks are effectively identified and assessed and that appropriate controls and responses are in place. Board Audit Committee and IC & CD are to carry out regular audits of policy and standards, compliances and standard performance is reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

Statement of Corporate Governance Status

Corporate Governance is a governance strategy for the companies to ensure a framework of control for its administrative and management practice. This is done through a collection of procedures that are aligned with recognized standards that respond to the interests of shareholders and other stakeholders. It ensures fairness, transparency and accountability in the corporate sector and safeguards the interest of all stakeholders.

Bangladesh Infrastructure Finance Fund Limited, BIFFL is committed to build up its Corporate Governance Status and continually review all the Corporate Governance Policies and Guideline to ensure on going transparency of its practices and delivery of high standard and quality information to the Stakeholders.

BIFFL is very much cautious about the regulations to maintain and comply the prevailing Companies Act, Rules- Regulations and Directions. In continuation of that an overview on Corporate Governance and compliance is stated below-

Board of Directors

The Board of Directors is collectively responsible for proper governance, which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management of the business and reporting to shareholders on their stewardship.

The Board is responsible to the shareholders for the overall management and performance of the company.

Executive Committee

In Compliance of Bangladesh Bank Direction and Guidelines and also the Companies Act and provision BIFFL Board has formed an Executive Committee. The committee composed of

- (1) Mr. Khandaker Anwarul Islam, Secretary, Bridges division, MoITB and Director of BIFFL.
- (2) Mr Monowar Islam, Secretary, Power Division, MoPEMR and Director, BIFFL.
- (3) Mr Md Aliquzzaman, Executive Director and CEO, BIFFL.
- (4) The Company Secretary, Mohammad M. Khan, will be performing as Member secretary of the committee.

A. Purpose

The Executive Committee ("Committee") is a committee under the Board of Directors (the "Board") of Bangladesh Infrastructure Finance Fund Limited (the "Company" or "BIFFL"). The primary purpose of the Committee is to functioning overall operations of the Company as a main committee under the Board of Directors of BIFFL.

B. Mandate

- 1 To perform such duties as may be required by:
 - the Financial Institutions Act 1993 (the "FI Act 1993") and the regulations there under; and
 - other applicable legislation and regulations including those of the Ministry of Finance Bangladesh Bank, Registrar of Joint Stock Companies and Firms etc.
- 2 To advise executive management on highly sensitive or major strategic investments.
- 3 To assist the Board of Directors (the "Board") in fulfilling its responsibilities for:
 - the review of Risk Management Policies; and
 - the oversight of the BIFFL's Risk Management function.
 - the review of the BIFFL's Risk Appetite and identifying and monitoring key risks;
 - the review of report from legal opinion for due diligence of the financing of projects
 - the review of report from technical and other aspects of the projects

- 4 From time to time, to examine and report to the Board on the important related issues facing the Company and, where necessary, to recommend policies in respect of these issues.
- 5 As and when required, the Committee can create the panel for legal, Environment and Technical experts and can take opinion on time to time basis of its requirement.

c. Duties & Responsibilities

The Committee shall:

- Review and preparation of Short-term, Medium-term And Long-Term plans and policies to fulfill Company's Goals/Objectives, as per the directions of the Board.
- Review business plans to be submitted to the Board, The Committee shall periodically review Company's Achievements and recommend to Board appropriately;
- Review implementation of the business policy approved by the members of the Board of Directors;
- Review and recommend for Board approval the BIFFL's Risk Appetite Framework at least annually and the Committee shall also review the alignment of the BIFFL's strategic plan with the Risk Appetite Framework;
- Review and recommend for Board approval the BIFFL's Credit Risk Strategy at least annually;
- Approve proposal for credit, limiting Tk. 50 crore and propose any proposal or transactions exceeding those limited authorities to the Board;
- Review on a quarterly basis management's report on the BIFFL's stress testing, and discuss with management identified material risks and emerging risk issues and trends;
- Review and approve risk management policies recommended by BIFFL management for identifying, accepting, monitoring, managing and reporting on the significant risks to which the BIFFL is exposed;
- As part of such review, satisfy itself with the manner in which material exceptions to such policies are identified, monitored, measured and controlled, as well as the remedial actions required when exceptions are identified;
- Review and approve credit, investment, market, liquidity, operational and insurance risks;
- As required by regulatory agencies, review, monitor and recommend to the Board for approval risk related policies, procedures and standards;
- Review quarterly reports on the BIFFL's enterprise-wide risk profile (including credit, market, operational and liquidity risks) including review against its risk appetite;
- Review and recommend for the Board's approval, the BIFFL's Crisis Management (Recovery) Plan; and Review the overdue position of clients of the company;
- Review and approve any other matters required by Bangladesh Bank and other regulators from time to time.
- Review the risk management function, having regard to its independence, by: annually reviewing and approving the organizational structure of the risk management function;
- Review significant risks and overall quality of credit portfolio;
- Review the write off loan status of the company and recovery thereof;
- Review management succession plans for executive positions;
- Review major compensation policies and recommend incentive program;
- Evaluate effectiveness of the HR Policy in carrying out the duties specified in its charter, the

Committee have the following approval authority:

- Approve credit proposals and corporate guarantee up to certain limit;
- Approve all administrative expenses up to certain limit;
- Approve reduction of interest rate of loan up to certain limit;
- Approve waiver of unrealized delinquent charge up to certain limit;
- Approve purchase/disposal of the fixed/floating assets of the company as per the regulatory guideline in this regard.

- Review of overall fund utilization of the Company
- Perform Executive Matters such other duties as may from time to time be assigned to the Committee by the Board
- Approve, on an annual basis, a core plan of reports to be presented to the Committee on matters within its mandate; and

Audit Committee

In compliance of Bangladesh Bank directives and guidelines and Companies Act and provision of BIFFL, the Board has formed the Audit Committee. The Committee comprised of:

01. Mr M. A. N. Siddique, Secretary, Road Transport and Highways Division, MoRTB and Director, BIFFL
02. Mr Md Abubakar Siddique, Secretary, Energy and Mineral Resource Division, MoP&MR and Director, BIFFL
03. Mr A. R. M. Nazmus Sakib, Additional Secretary, Finance Division and Director, BIFFL

The company secretary, Mohammad M. Khan will be performing as member secretary of the committee.

A. Purpose

The Audit Committee ("Committee") is a standing committee under the Board of Directors (the "Board") of Bangladesh Infrastructure Finance Fund Limited (the "Company" or "BIFFL"). The main purpose of the Committee is to act as a bridge of Board of Directors with Management, Shareholders, and others stakeholders. The committee plays an effective role for building an efficient, powerful, and safe financial system of the company.

B. Mandate

1. To oversee the accounting and financial reporting processes of the Company and the audits of the financial statements of the Company;
2. To establish effective internal control system for operating financial system with efficiently and disciplined manner;
3. To maintain effective communication and liaison with internal and external auditors;
4. To play role in controlling different risks associated with business operations;
5. To ensure effective use of Electronics and Information Technologies in business operations;
6. To build capacity in global standard for grasping business access opportunities and maintaining business competitiveness;
7. To build capacity for maintaining international financial standards in complex financial transactional environment;
8. To monitor implementation of the Company's compliance with legal and regulatory requirements and ethics programs established by management and the Board;
9. To perform such financial duties as may be required by:
 - the Financial Institutions Act 1993 (the "FI Act 1993") and the regulations there under; and
 - other applicable legislation and regulations including those of the Companies Act 1994, Ministry of Finance guidelines, Bangladesh Bank, Bangladesh Accounting Standards (BAS) Bangladesh Financial Reporting Standards (BFRS), Registrar of Joint Stock Companies and Firms etc.
10. To review and monitor integrity of financial statements, auditors' independence and internal control system of the company
11. Evaluate whether the Management has been able to build up the appropriate administration culture regarding the importance of internal control system and risk management;
12. From time to time, to examine and report to the Board on the financial and internal control system, taxation related issues facing the Company and, where necessary, to recommend policies in respect of these issues.
13. As and when required, the Committee can create the penal for consultants/experts and can take opinion on time to time basis of its requirement.

C. Duties & Responsibilities

The Committee shall perform following duties and responsibilities:

Internal Control:

- Review all the policies developed by the Management regarding IT system and management information system (MIS);
- Evaluate management philosophy to create culture regarding internal control system, risk management system, direction to officials & controls;
- Review the recommendations as provided time to time by the internal and external auditors to build a strong internal control framework have been administered by the Management or not;
- Review the existing Risk Management process to ensure effective mitigation & control system;
- Inform the Board regularly after review of the steps taken against findings of forgery, limitations of internal control system or identification of similar sectors by the internal, external and inspection team of regulatory authority;
- Monitor the effectiveness of the Company's risk based internal control system.

Financial Reporting:

- Review whether the financial statements are contained with full & applicable disclosures and are prepared in accordance with the policies and procedures directed by the Bangladesh Bank and in compliance with accounting and reporting standards required by law or supported by appropriate professional or other authorities;
- Exchange views with external auditors and management before finalization of financial statements;
- The Committee shall compile a report to shareholders on its activities to be included in the company's Annual Report.
- ❖ The chairman of the Committee shall be present in Annual General Meeting for responding questions related to financial statements and audit;

Internal Audit:

- Monitor and review the expertise & effectiveness of the company's internal audit function in the context of the company's overall risk management system;
- Review and monitor management's responsiveness to the findings and recommendations of the internal auditor;
- Review and assess the annual internal audit plan;
- Recommend to the Board for changing accounting principles, if any;

External Audit:

- Review the annual audit activities and audit report;
- Review with the auditor and management any audit problems or difficulties or findings and recommendations and management's response, including any restrictions on the scope of the auditor's activities or on access to requested information, and any significant disagreements with management.
- Approval of their terms of engagement, including any engagement letter issued at the start of each audit and the scope of the audit;
- Assessing annually their independence and objectivity taking into account relevant professional and regulatory requirements and the relationship with the auditor as a whole, including the provision of any non audit services;
- Resolution of disagreements between management and the auditor regarding financial reporting.
- Recommendation for appointment of auditors for financial audit of the company;

- Consider and make recommendations to the Board, to be put to shareholders for approval at the AGM, in relation to the appointment, re-appointment and removal of the company's external auditor;

Compliance:

- Review compliance with existing laws & regulations of the relevant regulators and policies approved by the Board.
- suspected infringement of laws, including securities related laws, rules and regulations;
- Review and discuss taxation and fiscal compliance related matters

Others

- The Committee Chairman shall report to the Board on its proceedings after each meeting on all matters within its duties and responsibilities.
- The Audit Committee shall immediately report to the Board of Directors on report on conflicts of interests;
- suspected or presumed fraud or irregularity or material defect in the internal control system;
- suspected infringement of laws, including securities related laws, rules and regulations;
- any other matter which shall be disclosed to the Board of Directors immediately.
- Undertake any other projects relating to its remit which it considers appropriate or as requested by the Board.

Credit Committee

The Credit Committee is a subcommittee of the Management. In general, all credit proposals shall originate from the Investment Division of BIFFL. The Credit Risk Management Forum (RMF) and Risk Analysis Unit (RAU) conduct a thorough credit and risk assessment prior to forwarding any proposal to the Credit Committee. Nevertheless, the credit proposal should clearly state that all instructions and guidelines of the credit policy have been complied with.

The Credit Committee of BIFFL consists of the following Officials:

Executive director & CEO	-	Convenor
General Manager (Investment)	-	Member
General Manager (Finance & Admin)	-	Member
Company Secretary	-	Member
Head of Credit Appraisal	-	Member
Head of Credit Monitoring	-	Member
Head of Credit Administration	-	Member-Secretary

The Credit Committee analyze the credit proposal to see whether the proposal is inconsistent with BIFFL's credit policies and credit norms, guidelines/regulations of Bangladesh Bank, relevant laws etc. and has been presented observing all the required formalities. The Committee, in the light of its analysis, considers the positive and negative sides of the proposal and give its opinion/recommendation. It is to be mentioned here that Credit Committee is to give recommendation/opinion only on proposal; BIFFL Board is the competent authority to approve the credits.

Risk Management Forum (RMF)

In order to manage all the risks in a prudent and organized way, the FIs operating in Bangladesh must have an effective Risk Management Forum (RMF). It should be headed by the Chief Risk Officer (CRO) and comprised with the heads of the Credit, Treasury, ICC, MIS, Operation Division, ALCO or any other related divisions. In line with the above-mentioned directives given by Bangladesh Bank, BIFFL

Management has decided to form the "Risk Management Forum" and "Risk Analysis Unit", consisting of the following officials, presently available as per approved organogram of the Company:

Risk Management Forum (RMF):

- 1) Mr. Mohammad Sagir Hossain Khan
General Manager (Investment), BIFFL – Convener (Representing CRO & Head of Credit)
- 2) Mr. Mohammad Monirul Islam Khan
Company Secretary, BIFFL – Member (Representing Company Affairs/Operations)
- 3) Mr. Mohammad Shahidul Islam
Manager (Credit), BIFFL – Member (Representing Treasury)
- 4) Mr. Md. Nisarul Kabir Siddiqui
Senior Officer (A&F), BIFFL – Member (Representing Accounts & Finance)
- 5) Mr. Shafiqul Islam Prodhan
Senior Officer (Credit Technical), BIFFL – Member (Representing Internal Control & Compliance)
- 6) Mr. Md. Abu Sayed Siddique
Sr. Officer (Legal & Comp.), BIFFL – Member (Representing Legal Affairs)
- 7) Mr. Md. Mohabul Alam
IT Officer, BIFFL – Member-Secretary (Representing IT & MIS)



Duties & Responsibilities of the RMF:

The responsibilities of RMF include the following:

- (a) Designing overall risk management strategy of the FI;
- (b) Communicating views of the Board and senior Management regarding the Risk Management Culture and Risk Appetite all over the FI;
- (c) Preparing Risk Management Policies and procedures;
- (d) Monitoring the prescribed/threshold limits of Risk Appetite set by the regulator and/or by the FI itself;
- (e) Developing, testing, and observing the use of models to measure and monitor the risks;
- (f) Developing and overseeing implementation of stress testing;
- (g) Overseeing the Capital Management functions in accordance with the risk Based Capital Adequacy Measurement Accord, i.e. BASEL-II/III;

- (h) Determining the most cost-effective way to minimize the risks;
- (i) Highlighting the risky portfolios and deficiencies of the FI on timely manner and reporting these analysis to the Executive director as well as Board of Directors with specific recommendations and suggestions;
- (j) Reviewing the market conditions, identifying the external threats and providing with recommendations for precautionary measures accordingly; and
- (k) Developing overall information system/MIS to support risk management functions of the FI.

Risk Analysis Unit (RAU):

Broadly, Risk Analysis Unit (RAU) will be responsible solely to identify and analyze all sorts of risks appropriately and timely. It (RAU) will act as the secretariat of Risk Management Forum. However, it must also be independent from all other units/divisions of the FI, e.g. no member of this unit will be involved in any sort of ratings or transactions, or setting/working to achieve any target imposed by the FI. She/he will not also be involved in the process of determining any standard or threshold ranges for risk management goals.

The RAU will consist of the following officials:

- | | | |
|--|---|------------------|
| 1) Mr. Mohammad Shahidul Islam
Manager (Credit), BIFFL | - | Convener |
| 2) Mr. Sheikh Anwar Sadat
Assistant Manager (Credit) | - | Member |
| 3) Mr. Md. Saddam Hossain
Officer (Renewable Energy), BIFFL | - | Member |
| 4) Ms. Rajina Rashid
Officer (A&F), BIFFL | - | Member-Secretary |



Risk Analysis Unit

Duties & Responsibilities of the RAU:

RAU will be responsible only for the followings:

- (a) Collecting all relevant data related to the risk indicators from different models and information system at the earliest;
- (b) Assessing the quality, completeness and correctness of those data;

- (c) Identifying and quantifying the risks and their exposures to material loss;
- (d) Preparing Risk Management Paper (RMP) in monthly basis; and
- (e) Conducting periodic Stress Testing.

Reporting of Risk Management Activities:

- (a) RAU will prepare a Risk Management paper (RMP) with a detailed analysis including Trend Analysis of all categories of risks with adequate updated data every month;
- (b) The RMP will be placed in the monthly meeting (if necessary, more than one meeting may be arranged) of the Risk Management Forum;
- (c) After detailed discussion RMP will recommend some specific action plans for mitigating the identified risks;
- (d) Name of the responsible division/unit who will implement the task along with a given timeline will have to be mentioned;
- (e) The updated data of any month will be collected by RAU by the 15th of next month;
- (f) The meeting of the RMF may be conducted within 20th of the same month. The Risk Management Paper along with the minutes of the RMF meeting (both hard copy and soft copy) will then be submitted to the Department of Financial Institutions and Markets (DFIM), Bangladesh Bank by the end of that month, (e.g. Data as on 30th April must be collected by RAU within 15th May; RMF meeting must be held within 20th May and the RMP and minutes of that meeting must be submitted to Bangladesh Bank by the end of May.)

Asset Liability Management Committee (ALCO)

In order to manage the Balance Sheet Risk, especially for managing of Liquidity Risk and Interest Rate Risk and assist the Management Committee in the decision making process, BIFFL Management has decided to form a Asset Liability Management Committee (ALCO) with the following members:

- | | | |
|--|---|------------------|
| 8) Mr. Md. Atiquzzaman, ED & CEO, BIFFL | - | Convener |
| 9) Mr. Mohammad Sagir Hossain Khan, GM (Inv.), BIFFL | - | Member |
| 10) Mr. Mohammad Shahidul Islam, Manager (Credit), BIFFL
(representing Head of Treasury) | - | Member |
| 11) Mr. Md. Nisarul Kabir Siddiqui, Sr. Officer (A&F), BIFFL
(representing Chief Financial Officer) | - | Member-Secretary |



TOR of the ALCO:

The ALCO shall take decisions for implementation of the following issues:

- (a) Need for or Asset growth in right buckets to minimize asset-liability mismatch.

- (b) Both short and long term Cash flow plan based on market interest rates and liquidity.
- (c) Need for change in Fund Transfer Pricing and/or customer rates in line with strategy adapted.
- (d) Address to the limits that are in breach (if any) or are in line of breach and provide detailed plan to bring all limits under control.
- (e) Address to all regulatory issues that are under threat to non-compliance.
- (f) Call special ALCO meeting when any contingency situation arises.

Duties and Responsibilities:

The duties of the Asset Liability Management Committee (ALCO) shall be:

- (a) To analyze the information relating to money market position and competition;
- (b) To formulate policies regarding management of liquidity and interest rate risk of the Company;
- (c) To set guide lines for establishment of effective methods of Asset Liability Management;
- (d) To set guidelines for optimum utilization of the financial resource of the Company;
- (e) To set limits for liquidity, interest rate, exchange rate and equity pricing risks;
- (f) To assess and identify the possible sources of risk in connection with the funding and lending activities.
- (g) To evaluate the strength of existing risk management tools and find out its possible ways of improvement; and
- (h) To monitor compliance with the regulations of Bangladesh Bank in respect of statutory obligations and ensure timely submission of reliable and relevant information.

The Asset Liability Management Committee (ALCO) will meet regularly and review the decisions of the meeting with due consideration of the market situation.

Standing Proposal Evaluation Committee (PEC)

For procurement of Intellectual and Professional Services through different standard selection methods, like: (a) Quality & Cost Based Selection (QCBS); (b) Fixed Budget (SFB); (c) Least Cost Selection (LCS); (d) Selection Based on Consultant's Qualifications (SBCQ); (e) Selection amongst Community Service Organizations (CSOs); (f) Single Source Selection (SSS) of firms or individual Consultants; (g) Selection of Consultants by a Design Contest (DC); (h) Selection of Individual Consultants, a Standing Proposal Evaluation Committee (PEC) has been formed, pursuant to Clause-103 and Clause-8 of PPR-2008.

The Committee consists of the following members:

- | | | |
|---|---|------------------|
| 1) Mr. Mohammad Sagir Hossain Khan
General Manager (Investment), BIFFL | - | Convener |
| 2) Mr. Mohammad Monirul Islam Khan
Company Secretary, BIFFL | - | Member |
| 3) Mr. Sheikh Anower Sadat
Assistant Manager (Credit Appraisal), BIFFL | - | Member |
| 4) Mr. Nisarul Kabir Siddiqui
Senior Officer (A & F), BIFFL | - | Member |
| 5) One representative from outside the Finance
Ministry, its Divisions or Agencies | - | Member |
| 6) One representative from outside the Finance
Ministry, its Divisions or Agencies | - | Member |
| 7) Ms. Rajina Rashid
Officer (Accounts & Finance), BIFFL | - | Member-Secretary |

As per Schedule-II of PPR, at least five (5) members including two (2) outside members must attend the Evaluation meetings and sign the Evaluation Report.

Standing Tender Evaluation Committee (TEC)

For Procurement for Goods and related Services, Works and Physical Services through different standard procurement methods, like; (a) Open Tendering Method; (b) Two-stage Tendering Method; (c) Limited Tendering Method; and (d) Direct Procurement Method, a Standing Tender Evaluation Committee (TEC) has been formed, pursuant to Clause-61, 62 and Clause-8 of PPR-2008.

The Committee consists of the following members:

1) Mr. Mohammad Monirul Islam Khan Company Secretary, BIFFL	-	Convener
2) Mr. Nisarul Kabir Siddiqui Senior Officer (A & F), BIFFL	-	Member
3) Mr. Abdullah Al Mamun Senior Officer (Admin), BIFFL	-	Member
4) Mr. Shafiqul Islam Prodhan Senior Officer (Credit-Technical), BIFFL	-	Member
5) One representative from outside the Finance Ministry, its Divisions or Agencies	-	Member
6) One representative from outside the Finance Ministry, its Divisions or Agencies	-	Member
7) Mr. Mohabul Alam Officer (IT), BIFFL	-	Member-Secretary

As per Schedule-II of PPR, at least five (5) members including two (2) outside members must attend the Evaluation meetings and sign the Evaluation Report.

Standing Recruitment Committee:

As per Instruction of the BIFFL Board and subsequent nomination from Ministry of Public Administration and Bangladesh Bank, a Committee has been formed with the following members (Not in the order of seniority):

- | | | |
|--|---|----------|
| 1) Mr. A. R. M. Nazmus Sakib
Additional Secretary, Finance Division, MoF
& Director, BIFFL Board, | - | Convener |
| 2) Mr. Md. Atiquzzaman
ED & CEO, BIFFL | - | Member |
| 3) Mr. Md. Faruque Hossain
Joint Secretary (PPP Unit), Finance Division, MoF. | - | Member |
| 4) Mr. Md. Shah Alam
General Manager
Department of Financial Institutions & Markets (DFIM)
Bangladesh Bank. | - | Member |
| 5) Dr. Md. Nazrul Anwar
Joint Secretary (Budget Management)
Ministry of Public Administration | - | Member |

TOR:

The Committee will

- Evaluate the applications submitted by interested applicants and prepare a short-list of candidates;
- Conduct interviews of the short-listed candidates;
- Recommend a competent and alternate candidates for the position of "Company Secretary".

Chief Financial Officer (CFO), Company Secretary and Head of Internal Audit

The Company has appointed Mr. Mohammad M. Khan, ACS as Company Secretary of the organization to perform and look after the overall Legal, Statutory & Compliance issues. As well the function of the Board / Shareholders and the Statutory Communication and Public Relationship of the organization.

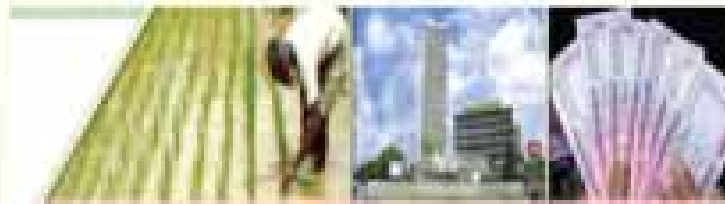
The Company has been started to perform in its main stream line from the year 2014 through the disbursement of Infrastructure finance. The Management is committed to appoint separately the Chief Financial Officer (CFO) and the Head of Internal Audit gradually as per requirement of the function of the Organization.

Regulations

Bangladesh Bank is the primary Regulator of Bangladesh Infrastructure finance fund limited, BIFFL like all other Financial Institutions (FIs) which has been regulated under the Financial Institutions Act 1993. As an NBFI, BIFFL has to comply all the Rules and Regulations, Directives and Notifications issuing time to time by Bangladesh Bank and file returns to RISC time to time.



BANGLADESH BANK
Central Bank of Bangladesh



Registrar of Joint Stock Companies & Firms.



গণপ্রজাতন্ত্রী বাংলাদেশ সরকার
জাতীয় অর্থনৈতিক পরিষদের কার্যালয়
Registrar of Joint Stock Companies and Firms

Returns & reporting to Bangladesh Bank

Daily Reporting

Return / Statement	Submission	Remarks
Call Money Transaction Report	At the end of Day	Not Applicable

Manthly Reporting

Return / Statement	Submission	Remarks
Reschedule of Loan/Lease	Within 10 working days of next month	Complied
Loan/Lease Write off statement	Within 10 working days of next month	complied
CRR and SLR	Within 10 working days of next month	Complied
Interbank Transaction	Within 3 working days of next month	Complied
CIB	Within 3 working days on next month	Complied
Integrated Supervision of Risk Management	1 Month	-
Liquidity Profile	Within 3 working days on next month	-

Quarterly Reporting

Return / Statement	Submission	Remarks
Interest Rate on Deposit & Lending	7 days	Complied
Sector Wise Loan/Lease	1 Month	Complied
Top-10 Defaulted Borrower	1 Month	Complied
Director's Loan/Lease (Banks & NBFLS)	15 Days	Complied
Loan /Lease Classification & Provisioning	1 Month	Complied
Recovery of Loan/Lease/Business Activity	15 Days	Complied
Large Loan/Lease	15 Days	Complied
CAMD Statement	1 Month	-
Stress Testing Report	1 Month	-
Writ/Case related Reporting	15 Days	Complied
Directors Information	15 Days	Complied

Half Yearly Reporting

Return / Statement	Submission	Remarks
Net Asset Statement	Jan 31 & July 31	complied
Fees/Charges/Commissions	Jan 31 & July 31	Complied
Mainstreaming Corporate Social Responsibility (CSR)	Jan 31 & July 32	-
Court Cases	Jan 31 & July 32	Complied

Yearly Reporting

Return / Statement	Submission	Remarks
Annual Report	3 Months	Complied
Half Yearly Report	-	-
Management Report	4 Months	Complied
Director's List with Shareholding	1 Month	Complied

Others

Return / Statement	Submission	Remarks
Director's List/Information	Immediate after change	Complied
Minutes of Boards and EC Committee	5 working days after meeting	Complied
Diagnostic Review Report (DRR)		
Executive Committee Meeting		
Audit Committee Meeting		

Returns & Reporting to RJSC

a. Annual Returns

- i. Schedule X - Annual summary of share capital and list of shareholders, Directors: to be filed within 21 days of AGM [Section 36].
- ii. Balance Sheet: to be filed within 30 days of AGM.
- iii. Profit & Loss Account: to be filed within 30 days of AGM.
- iv. Form 238 & Notice by Auditor: to be filed within 30 days of receiving appointment information from the company [Section 210 (2)].
- v. Filled in Form IX - Consent of Director to act: to be filed within 30 days of appointment [Section 92].
- vi. Filled in Form XII - Particulars of the Directors, Manager and Managing Agents and of any change therein: to be filed within 14 days from the date of appointment or change [Section 115].

b. Returns for Change

- i. Filled in Form III - Notice of consolidation, division, subdivision or conversion into stock of shares: to be filed within 15 days of consolidation and division etc. [Section 53 & 54].
- ii. Filled in Form IV - Notice of increase share capital: to be filed within 15 days of increase of share capital/member [Section 56].
- iii. Filled in Form VI - Notice of situation of Registered Office and of any change therein: to be filed within 28 days of establishment or change [Section 77].
- iv. Filled in Form VII Statutory report: to be filed after sending copy of the statutory report to the members not less than 21 days before meeting [Section 83].
- v. Filled in Form VIII Special Resolution/ Extraordinary Resolution including name change, conversion onto private company, alteration of the memorandum of association, alteration of articles of association etc.: to be filed within 15 days of the meeting [Section 88 (1)].
- vi. Filled in Form IX - Consent of Director to act: to be filed within 30 days of appointment [Section 92].
- vii. Filled in Form XII - Particulars of the Directors, Manager and Managing Agents and of any change therein: to be filed within 14 days from the date of appointment or change [Section 115].
- viii. Filled in Form XV - Return of allotment: to be filed within 60 days of allotment [Section 151].
- ix. Filled in Form XVIII - Particulars of mortgages or charges: to be filed within 21 days of creation of the mortgage or charge [Section 159 & 391].
- x. Filled in Form XIX - Particulars of Modification of Mortgage or Charge: to be filed within 21 days of modification [Section 167(3) & 319].
- xi. Filled in Form XXVIII - Memorandum of satisfaction of mortgage charge: to be filed within 21 days of satisfaction [Section 12 & 391].
- xii. Filled in Form 117 - Instrument of Transfer of Share.
- xiii. Prospectus for issue of shares: to be filed at least 3 days before the 1st allotment of share or debenture [Section 141].
- xiv. Prospectus following conversion of Private company into Public company [Section 231].
- xv. Digital copy of original Memorandum & Articles of Association

BIFFL Events



Signing ceremony of Regent Energy and Power Limited (REPL)



Farewell to Ex-Chairman of BIFFL



Welcome & Reception of newly Elected Chairman



BIFFL Team at Signing ceremony of REPL



Farewell to Abijit Bhaumik (ADB Consultant)



Farewell to Debashish Ghosh (ADB Consultant)



Signing of MOU with IDCOL



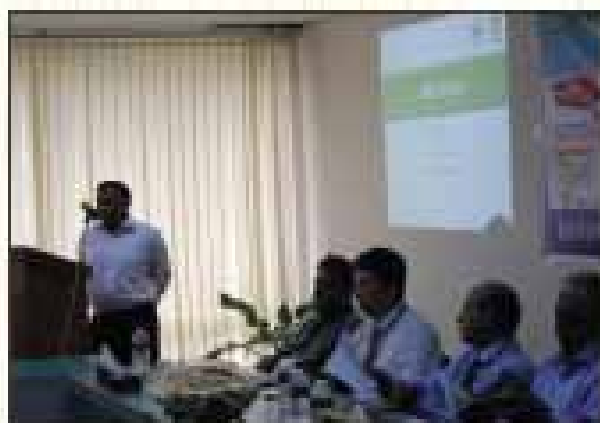
Farewell to Debashish Ghosh (ADB Consultant)



Farewell to Debashish Ghosh (ADB Consultant)



Farewell to Ex-Chairman of BIFFL



Speech of GM-Investment at a Seminar of Brick Machine Manufacturer



First disbursement celebration of BIFFL employees



Orientation session on PPP projects held at BIFFL office premises



Signing ceremony of Sirsha Peoples Energy Limited (SPEL)



Closing of Orientation Program of PPP projects organized by BIFFL



BIFFL staff at PPP Global Investors' Forum



Site visit of SPEL



Site visit of SPEL



Site visit of a Brick Field



Agreement signing ceremony with IFC for Technical Support

Auditor's Report And Audited Financial Statements

for the year ended on 31st December 2013



**2,257.27 mln
Income**

**38.17 mln
Operative
Expenses**

**1,275.98 mln
Net Profit after Tax &
Provision**



AUDITORS' REPORT TO THE SHAREHOLDERS OF BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.

এ. মতীন এন্ড কোং
A. MATIN & CO.
Chartered Accountants

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Ltd. ("the Company"), which comprise the Statement of Financial Position (balance sheet) as at 31 December 2013 and the related Statements of Comprehensive Income (profit and loss account), Statement of Changes in Equity, Statement of Cash Flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Bangladesh Financial Reporting Standards (BFRSs), the Companies Act 1994, the Securities and Exchange rules 1987 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2013 and of its financial performance except interest revenue; it is recognized on a realization basis. And its cash flows for the year then ended in accordance with Bangladesh Financial Reporting Standards ("BFRS") and comply with the Companies Act 1994, the Securities and Exchange Rules 1987 and other applicable laws and regulations.

We also report that:

- i. we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- ii. in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;
- iii. the Company's balance sheet and profit and loss account dealt with by the report are in agreement with the books of account; and
- iv. the expenditure incurred was for the purposes of the Company's business;

Dated, Dhaka
14/07/2014


A. Matin & Co.
Chartered Accountants

BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
STATEMENT OF FINANCIAL POSITION
AS AT DECEMBER 31, 2013

		Amount in Taka 2013	Amount in Taka 2012
PROPERTY AND ASSETS	Notes		
Cash	3	32,190	461,574
In hand (including foreign currencies)		22,807	3,301
Balance with Bangladesh Bank and its agents bank(s)		9,383	458,273
(including foreign currencies)			
Balance with other banks and financial institutions	4	20,699,878,982	18,689,926,240
In Bangladesh		20,699,878,982	18,689,926,240
Outside Bangladesh		-	-
Money at call and short notice	5	-	-
Investments	6	-	-
Government		-	-
Others		-	-
Leases , loans and advances	7	-	-
Bills Purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	7,089,589	8,686,158
Other assets	10	541,757,984	330,456,860
Non-business assets	11	-	-
Total assets		21,248,758,744	19,029,530,833
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks ,other financial institutions and agents		-	-
Deposits and other accounts	13	-	-
Current deposits		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	2,231,179,080	1,287,935,012
Total Liabilities		2,231,179,080	1,287,935,012
Capital / Shareholders' Equity		19,017,579,665	17,741,595,821
Paid up capital	15	16,000,000,000	16,000,000,000
Share premium	16	-	-
Statutory reserve	17	597,572,994	348,319,164
Other reserve	18	-	-
Retained earnings:	19	-	-
Retained earnings balance		2,390,291,978	1,393,276,657
Total liabilities and Shareholders' equity		21,248,758,744	19,029,530,833

OFF-BALANCE SHEET ITEMS :**Contingent liabilities**

Acceptances and endorsements

Letter of guarantee

Irrevocable letter of credit

Bills for collection

Other contingent liabilities

19

Amount in Taka	Amount in Taka
2013	2012
-	-
-	-
-	-
-	-
-	-
-	-

Other commitments

Documentary credits and short term trade and related transactions

Forward assets purchased and forward deposits placed

Undrawn note issuance and revolving underwriting facilities

Undrawn formal standby facilities, credit lines and other commitments

Others

19

-	-
-	-
-	-
-	-
-	-
-	-

Total off-balance sheet items including contingent liabilities

-	-
---	---

The accompanying notes form an integral part of these financial statements.



Mohammad Sagor Hossain Khan
GM & Company Secretary (Incharge)



A. R. M Nazmus Sakib
Director



ED & CEO
Md. Atiquzzaman

Signed as per our annexed report of even date.

Dated, Dhaka
14/07/2014




A. Martin & Co.
Chartered Accountants

**BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2013**

		Amounts in Taka 2013	Amounts in Taka 2012
	Notes		
Interest income from leases, loans and advances	21	-	-
Interest expenses on borrowings, deposits, etc.	22	-	-
Net interest income		-	-
Investment income	23	-	-
Commission, exchange and brokerage		-	-
Other operating income	24	2,257,274,260	2,155,425,308
Total operating income		2,257,274,260	2,155,425,308
Salary and allowances	25	4,511,343	2,410,321
Rent, taxes, insurance, electricity, etc.	26	478,906	594,183
Legal expenses	27	-	-
Postage, stamp, telecommunication, etc.	28	224,751	74,775
Stationery, printing, advertisements, etc.	29	935,112	659,889
Managing Director's salary and allowances	30	1,981,565	1,712,500
Directors' fees	31	117,000	135,000
Audit fees	32	57,500	57,500
Depreciation and repairs of company's assets	33	2,483,651	2,280,165
Other operating expenses	34	25,382,896	24,564,671
Total operating expenses		38,171,925	34,489,005
Profit before provision		2,219,102,337	2,120,936,305
Provision for leases, loans and advances	35	-	-
Other provision	14	-	-
Total provision		-	-
Total profit before income tax		2,219,102,337	2,120,936,305
Provision for income tax	14.1/36	943,118,493	901,397,930
		1,275,983,844	1,219,538,375
Provision for workers profit participation fund		-	-
Net profit after Tax & Provision		1,275,983,844	1,219,538,375
Retained earnings brought forward from previous year		1,393,276,657	417,645,956
		2,669,260,501	1,637,184,332
Appropriations:			
Statutory reserve	17	255,196,769	243,907,675
		255,196,769	243,907,675
Retained earnings carried to the balance sheet	19	2,414,063,732	1,393,276,657
Earning per share (EPS)	38	7.87	7.62

The accompanying notes form an integral part of these financial statements.


Mohammad Sagir Hossain Khan
GM & Company Secretary (Incharge)

Signed as per our annexed report of even date.

Dated, Dhaka
14/07/2014


A. R. M Nazmus Sakib
Director




ED & CEO
Md. Atiquzzaman


A. Martin & Co.
Chartered Accountants

BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
CASH FLOW STATEMENT
FOR THE YEAR ENDED DECEMBER 31, 2013

	Amount in Taka 2013	Amount in Taka 2012
Cash flows from operating activities:		
Interest receipt in cash	2,257,274,260	2,155,425,308
Interest payment	-	-
Dividend receipts	-	-
Recoveries of loan previously written-off	-	-
Advance income taxes paid	-	-
Receipts from other operating activities	-	-
Payments for other operating activities	(12,707,492)	14,034,995
Cash generated from operating activities before changes in operating assets and liabilities	2,244,566,768	2,169,466,303
Increase / decrease in operating assets and liabilities		
Statutory deposit	-	-
Trading securities	-	-
Leases, loans and advances	-	-
Other assets	(234,157,320)	(193,827,111)
Deposit and other accounts	-	-
Other liabilities on account of customers	-	-
Trading liabilities	-	-
Other liabilities	-	-
	(234,157,320)	(193,827,111)
Net cash from operating activities	2,010,409,438	1,975,633,193
Cash flows from investing activities:		
Proceeds from sale of securities	-	-
Payments for purchases of securities	-	-
Purchase of fixed assets	(886,081)	(10,966,323)
Proceeds from sale of fixed assets	-	-
Payment against lease obligation	-	-
Investment in FDR	-	(22,856,206)
Net cash used in investing activities	(886,081)	(33,822,529)
Cash flows from financing activities:		
Receipts of borrowings from banks, other financial institutions and agents	-	-
Repayment of borrowings from banks, other financial institutions and agents	-	-
Receipts against issue of share capital (IPO)	-	-
Receipts against Share Premium (IPO)	-	-
Dividend paid in cash	-	-
Net cash from financing activities	-	-
Net increase / (decrease) in cash and cash equivalents	2,009,523,357	1,941,810,664
Effects of exchange rate changes on cash and cash equivalents	-	-
Cash and cash equivalents at beginning of the year	10,690,307,815	16,771,433,356
Cash and cash equivalents at the end of the year	20,699,911,172	18,713,244,020
	Amount in Taka 2013	Amount in Taka 2012
Cash and cash equivalents at the end of the year		
Cash in hand (including foreign currencies)	22,807	3,301
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)	9,383	458,273
Balance with banks and other financial institutions	20,699,878,982	18,689,926,340
Money at call and short notice	-	-
	20,699,911,172	18,690,387,815

BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
LIQUIDITY STATEMENT
(Analysis of maturity of assets and liabilities)
FOR THE YEAR ENDED DECEMBER 31, 2013

Particulars	Up to 1 month Taka	1-3 months Taka	3-12 months Taka	1-5 years Taka	Above 5 years Taka	Total Taka
Assets :						
Cash in hand	22,807	-	-	-	-	22,807
Balance with Bangladeshi Bank and its agents	9,383	-	-	-	-	9,383
Balance with banks and other financial institutions	23,575,884	-	-	20,676,302,090	-	20,699,878,902
Money at call and short notice	-	-	-	-	-	-
Investments	-	-	-	-	-	-
Loans, loans and advances	-	-	-	-	-	-
Fixed assets including premises, furniture and fixtures	-	-	-	7,089,589	-	7,089,589
Other assets	-	-	541,757,984	-	-	541,757,984
Non-business assets	-	-	-	-	-	-
Total assets (A)	23,609,074	-	541,757,984	20,683,391,686	-	21,248,758,744
Liabilities :						
Borrowings from banks, other financial institutions and agents	-	-	-	-	-	-
Deposits and other accounts	-	-	-	-	-	-
Provision and other liabilities	-	-	-	2,231,179,080	-	2,231,179,080
Total liabilities (B)	-	-	-	2,231,179,080	-	2,231,179,080
Net liquidity gap (A - B)	23,609,074	-	541,757,984	18,452,212,606	-	19,017,579,665

[Signature]

Mohammad Sagor Hossain Khan
 GM & Company Secretary (Incharge)

Signed as per our annexed report of even date.
 Dated, Dhaka
 14/07/2014

[Signature]

A. R. M Nazmus Sakib
 Director



[Signature]
 A. Matin & Co.
 Chartered Accountants

[Signature]

ED & CEO
 Md. Atiquzzaman

BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2013

Particulars	Paid up capital (Tk.)	Capital Reserve (Tk.)	Statutory Reserve (Tk.)	Retained Earnings (Tk.)	Total (Tk.)
Balance as at January 01, 2012	16,000,000,000	-	104,411,489	417,645,956	16,522,057,445
Profit for the year	-	-	-	1,219,538,375	1,219,538,375
Transferred to statutory reserve	-	-	243,907,675	(243,907,675)	-
Transferred to provision for Tax	-	-	-	-	-
Bonus share issued	-	-	-	-	-
Revaluation of properties	-	-	-	-	-
Balance as at 31st December 2012	16,000,000,000	-	348,319,164	1,393,276,657	17,741,595,821
Changes in accounting policy	-	-	-	-	-
Restated balance	16,000,000,000	-	348,319,164	1,393,276,657	17,741,595,821
Surplus/deficit on account of revaluation of properties	-	-	-	-	-
Surplus/deficit on account of revaluation of investment	-	-	-	-	-
Issue of share Capital (including premium)	-	-	-	-	-
Bonus share issued (2013)	-	-	-	-	-
Net profit after tax for the year	-	-	-	1,275,983,844	1,275,983,844
Provision for workers profit participation fund	-	-	255,196,769	(255,196,769)	-
Transferred to statutory reserve	-	-	-	-	-
Balance as at 31st December 2013	16,000,000,000	-	603,515,933	2,414,063,732	18,987,864,973

Mohammad Sagir Hossain Khan

Mohammad Sagir Hossain Khan
GM & Company Secretary (Incharge)

Signed as per our annexed report of even date.

Dated, Dhaka

14/07/2014

A. R. M Nazmus Sakib

A. R. M Nazmus Sakib
Director



A. Matin & Co.

A. Matin & Co.

Chartered Accountants

Md. Atiquzzaman

ED & CEO
Md. Atiquzzaman

**BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED DECEMBER 31, 2013**

1.0 CORPORATE INFORMATION:

1.1 Legal Status of BIFFL:

"Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 16.00 billion. Certificate of Incorporation was Issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also Issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an Ex-officio Member."

1.3 Nature of Business

"The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for Infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh. The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects."

2.00 SIGNIFICANT ACCOUNTING POLICIES :

2.1 Basis of Accounting

These Financial Statements have been prepared under historical cost convention following accrual basis of accounting and in compliance with the requirements of Companies Act 1994, Bangladesh Accounting Standards (BASs), Bangladesh Financial Reporting Standards (BFRSs) and Financial Institution Act 1993.

2.2 Separate Books of Accounts

The company maintains separate office and books of accounts.

2.3 Fixed Assets

Freehold assets are recognized at cost of acquisition less accumulated depreciation with impairment losses, if any, in compliance with the benchmark treatment of BAS 16 "Property, Plant and Equipment".

2.4 Depreciation

Fixed Assets for Company's own use are depreciated at different ranges from 10% to 50% applying straight line method throughout the estimated span of useful life ranging from five to ten years. Rate of depreciation is as follows:

Type of Assets	Rate
Land & Land Development	0%
Office Building	10%
Furniture & Fixtures	10%
Motor Vehicles	20%
Computer	30%
Accounting Software	50%
Electronic & Installation	10%

2.5 Employees Benefits Scheme

2.5.1 Defined Contribution Plan

2.5.1.1 Provident fund

The Company operates a workers profit participation fund for its employees with reference of the Bangladesh Labor (Amendment) Act 22 July 2013. Provident fund is administered by a Board of Trustees and is funded from 5% of net profit of the organization.

2.6 Corporate Tax

2.6.1 Current Tax

Provision for Taxation for the Company has been sufficiently kept.

2.15 Payable and Accruals

Liabilities are recognized for the amounts to be paid in future for goods and services received.

2.16 Provisions

A provision is recognized in the Balance Sheet when the Company has a legal or constructive obligation as a result of a past event, it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

**2.17 General
Comparative Information**

Comparative information has been disclosed in respect of the year 2012 for all numerical information in the Financial Statements and also the narrative and descriptive information where it is relevant for understanding of the current year's Financial Statements.

Previous year figures have been rearranged wherever considered necessary to conform to current year's presentation.

2.18 Renewal of FDR and interest thereon

FDR if not encashed on due date, is considered automatically renewed with interest earned upto maturity date and due at the equivalent current rate of interest.

3.00 CASH

Cash in hand (3.01)
Balance with Sonali Bank as agent of Bangladesh Bank (3.02)

Amount in Taka 2013	Amount in Taka 2012
22,807	3,301
9,383	458,273
32,190	461,574

3.1 Cash in hand

In local currency
In foreign currency

22,807	3,301
-	-
22,807	3,301

3.2 Balance with Bangladesh Bank and its agents Bank(s)

In local currency
Balance with Sonali Bank as agent of Bangladesh Bank
In foreign currency

-	-
9,383	458,273
-	-
9,383	458,273

4 Balance with banks and other financial institutions

Inside Bangladesh

Current accounts (note-4.1)
Short term deposit accounts (note-4.2)
Savings accounts (note-4.3)
Fixed deposit accounts (note-4.4)

-	-
23,576,884	5,449,177
-	-
20,676,302,098	18,684,477,063
20,699,878,982	18,689,926,240

Outside Bangladesh

-	-
-	-

The company does not maintain any account outside of Bangladesh

4.1 Current account

The company does not maintain any current account

4.2 Short term deposit account

One Bank Ltd

23,576,884	5,449,177
23,576,884	5,449,177

4.3 Savings accounts

The company does not maintain any savings account

4.4 Fixed deposit accounts

	Amount in Taka 2013	Amount in Taka 2012
1 Mercantile Bank Ltd.	-	594,414,019
2 One bank Ltd.	-	283,755,340
3 Agrani Bank Ltd.	-	2,328,524,909
4 SEBL	-	713,296,821
5 City Bank Ltd.	-	593,117,419
6 NCC	-	591,168,732
7 Prime Bank Ltd.	-	591,144,055
8 Janata Bank Ltd.	4,586,650,763	2,328,524,909
9 Dhaka Bank Ltd.	398,039,268	356,249,365
10 EXIM Bank Ltd.	671,447,294	600,936,038
11 National Bank Ltd.	660,523,067	591,158,732
12 Jomuna Bank Ltd.	796,925,799	712,191,873
13 Rupali Bank Ltd.	4,596,274,870	2,331,760,106
14 Sonali Bank Ltd.	5,523,419,786	4,641,683,876
15 United Commercial Bank Ltd.	350,000,000	713,275,587
16 Bank Asia	400,000,000	-
17 IFIC Bank Ltd.	2,693,021,250	713,275,283
	20,676,302,098	18,684,477,063

4.5 Maturity grouping of balance with banks and other financial institutions

On demand	-	-
Up to 1 month	-	-
Over 1 month but not more than 3 months	-	-
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	20,676,302,098	18,684,477,063
Over 5 years	-	-
	20,676,302,098	18,684,477,063

5 Money at call and short notice:

-	-
---	---

6 Investments

Investment classified as per nature:

Government (note -6.1)

Others (note-6.2)

-	-
-	-

6.1 Government Securities:

Treasury bills

National investment bonds

Bangladesh Bank bills

Government notes / bonds

Others

-	-
-	-
-	-
-	-
-	-

6.2 Other investments:

Investment in shares
Debtenture and bonds
Other investment

Amount in Taka	Amount in Taka
2013	2012
-	-
-	-
-	-
-	-

6.3 Maturity grouping of investments:

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

-	-
-	-
-	-
-	-
-	-
-	-
-	-

As at 31 December 2013, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any

7 Leases, Loans and advances :

7.1 a) Inside Bangladesh

Leases (note -7.2)
Loans
Cash credits
Overdrafts

-	-
-	-
-	-
-	-
-	-

b) outside Bangladesh

-	-
-	-

7.2 Leases

-	-
-	-

7.3 Sector wise leases, loans and advances

Public sector
Co-operative sector
Private sector

-	-
-	-
-	-

7.4 Residual maturity grouping of leases, loans and advances

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

-	-
-	-
-	-
-	-
-	-
-	-

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	Amount in Taka 2013	Amount in Taka 2012
Rural :		
Dhaka Division	-	-
Chittagong Division	-	-
Khulna Division	-	-
Rajshahi Division	-	-
Barisal Division	-	-
Sylhet Division	-	-
	-	-
Outside Bangladesh:	-	-
	-	-
Total	-	-

7.7 Classification of Leases, loans and advances :

Unclassified :

Standard	-	-
Special mention account	-	-
	-	-

Classified :

Sub-standard	-	-
Doubtful	-	-
Bad/Loss	-	-
	-	-
Total	-	-

As at 31 December 2013, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any transaction relating Leases , Loans and advances.

8 Bills purchased and discounted

Payable in Bangladesh	-	-
Payable outside Bangladesh	-	-
	-	-

As at 31 December 2013, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any transactions relating relating to bills purchase and or discount.

9 Fixed assets including premises, furniture and fixtures:**Cost:**

Amount in Taka	Amount in Taka
2013	2012
Opening Balance	10,966,323
Addition during the year	886,081
	11,852,404
Adjustment during the year	-
Closing Balance (A)	11,852,404

Less : Accumulated Depreciation :

Opening Balance	2,280,165	-
Charged during the year:	2,482,651	2,280,165
	4,762,816	2,280,165
Adjustment during the year	-	-
Closing Balance (B)	4,762,816	2,280,165
Written Down Value (A-B) (Annexure -A)	7,089,589	8,686,158

10 Other assets

Tax deducted at source (10.1)	540,998,413	307,543,891
Advance and Prepayments (10.2)	759,571	56,763
Preliminary Expense (10.3)	-	22,856,206
	541,757,984	330,456,860

10.1 Tax deducted at source

As per last	307,543,891	90,917,338
Add: This Year AIT on SND	154,501	23,968
Add: This Year AIT on FDR	233,300,020	216,602,585
	540,998,413	307,543,891

10.2 Advance and Prepayments

As Per Last Accounts	56,763	-
Addition this year	702,808	56,763
	759,571	56,763

10.3 Preliminary Expense

Company Registration & others	22,844,706	45,689,411
Company Logo	11,500	23,000
	22,856,206	45,712,411
Less:		
Company Registration & others write-off	22,844,706	22,844,706
Company Logo write-off	11,500	11,500
	-	22,856,206

11 Non-business assets

As at 31 December 2013, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) does not have any non-business assets.

12 Borrowings from banks ,other financial institutions and agents:

In Bangladesh (note-12.1)	-	-
Outside Bangladesh (note-12.2)	-	-
	-	-

	Amount in Taka	Amount in Taka
	2013	2012
12.1 In Bangladesh	-	-
	-	-
12.2 Outside Bangladesh	-	-
	-	-

12.3 Maturity grouping of borrowings from banks, other financial institutions and agents.

Repayable on demand	-	-
Up to 1 month	-	-
Over 1 month but not more than 3 months	-	-
Over 3 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	-	-
Over 5 years	-	-
	-	-

As at December 2013, the Company does not have any Borrowings from banks ,other financial institutions and

13 Deposits and other accounts:

Current deposits (note-13.1)	-	-
Bills payable (note-13.2)	-	-
Savings deposits (note-13.3)	-	-
Term deposits (note-13.4)	-	-
Bearer certificate of deposit (note-13.5)	-	-
Other deposits (note-13.6)	-	-
	-	-
	-	-

13.1 Current deposits

To conform the Bangladesh Bank's guidelines regarding deposits, the Company does not operate any current deposit account.

13.2 Bills payable

As at 31 December , the company does not have any bills payable

13.3 Savings deposits

To conform with the Bangladesh Bank's guidelines regarding deposits, the company does not operate any savings deposit account.

13.4 Term deposits

Deposits from banks and other financial institutions (note-13.4.1)	-	-
Deposits from customers (note-13.4.2)	-	-
	-	-

13.4.1 Deposits from banks and other financial institutions

	-	-
--	---	---

	2013	2012
13.4.2 Deposits from customers		
Deposits from general public	-	-
Deposits from companies	-	-
	-	-
13.5 Bearer certificate of deposit	-	-
To conform with the Bangladesh Bank's guidelines regarding deposits, the company does not have any bearer certificate of deposit.		
13.6 Other deposits	-	-
As at 31 December 2013, the company does not have any other deposit account.		
13.7 Maturity grouping of deposits and other accounts:		
Repayable on demand	-	-
Up to 1 month	-	-
Over 1 month but not more than 6 months	-	-
Over 6 months but not more than 1 year	-	-
Over 1 year but not more than 5 years	-	-
Over 5 years but not more than 10 years	-	-
Over 10 years	-	-
	-	-
As at December 2013, the Company does not have any Deposits and other accounts.		
14 Other liabilities		
Provision for income tax (14.1)	2,230,384,970	1,287,266,476
Audit fee Payable	172,500	115,000
Accounts payables (14.2)	545,210	529,536
Other provision (14.3)	76,400	24,000
Provision for workers profit participation fund (14.4)	-	-
	2,231,179,080	1,287,935,012
14.1 Provision for income tax		
As per Last year	1,287,266,476	383,868,547
Add: Addition during this year	943,118,493	901,397,930
	2,230,384,970	1,287,266,476
14.2 Accounts payables		
Opening	529,536	79,614
Add: Addition this year (14.2.1)	119,349	449,922
Less: adjustments	103,575	-
	545,210	529,536

	Amount in Taka 2013	Amount in Taka 2012
14.3 Other Provision		
Opening	24,000	-
Add: Addition this year	412,400	24,000
Less: adjustments	360,000	
	76,400	24,000
Management does not maintain workers profit participation fund		
14.4 Provision for workers profit participation fund		
15 Share Capital:		
15.1 Authorized capital		
1,000,000,000 Ordinary shares of Tk. 100 each	100,000,000,000	100,000,000,000
15.2 Issued, Subscribed & Paid up Capital :		
160000000 Shares @Tk 100 each	16,000,000,000	16,000,000,000
16 Share premium		
17 According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve. Details movement of the reserve are as follows:		
Balance at 01 January	348,319,164	104,411,489
Add: Transferred during the year	255,196,769	243,907,675
Balance at 31 December	603,515,933	348,319,164
18 Other Reserve:		
The company doesn't maintain any other reserve.		
19 Retained earnings		
Balance at 01 January	1,393,276,657	417,645,956
Add: Net profit for this year	1,275,983,844	1,219,538,375
	2,669,260,501	1,637,184,332
Less: Transfer to statutory reserve	255,196,769	243,907,675
Balance at 31 December	2,414,063,732	1,393,276,657
Apportionment:		
Retained earnings balance	2,414,063,732	1,393,276,657
	2,414,063,732	1,393,276,657

	Amount in Taka 2013	Amount in Taka 2012
19.1 Contingent liabilities	-	-
Acceptances and endorsements	-	-
Letter of guarantee (19.1.1)	-	-
Irrevocable letter of credit	-	-
Other contingent liabilities	-	-
	-	-
19.1.1 Letter of guarantee	-	-
Claims lodged with the company which is not recognized as loan	-	-
Money for which the company is contingently liable in respect of the following:		
Government	-	-
Banks and other financial institutions	-	-
Others	-	-
	-	-
19.2 Other commitments	-	-
Documentary credits and short term trade and related transactions	-	-
Forward assets purchased and forward deposits placed	-	-
Undrawn note issuance and revolving underwriting facilities	-	-
Undrawn formal standby facilities, credit lines and other commitments	-	-
Others	-	-
	-	-

As at 31 December 2013, the Company does not have any liabilities, which was not shown in the accounts.

20 Income statement

Income :

Interest, discount and similar income (note-20.1)	-	-
Dividend income	-	-
Commission, exchange and brokerage	-	-
Gains less losses arising from dealing in securities	-	-
Gains less losses arising from dealing in foreign currencies	-	-
Other operating income (note-24)	2,257,274,260	2,155,425,308
Profit less losses on interest rate changes	-	-
	2,257,274,260	2,155,425,308

Expenses:

Interest expenses on deposits, borrowings, etc. (note-22)	-	-
Charges on losses regarding leases, loans and advances	-	-
Administrative expenses (note-20.2)	10,306,376	7,644,168
Other operating expenses (note-34)	25,382,896	24,564,671
Depreciation on company's fixed assets (note-33)	2,482,651	-
	38,171,923	32,208,839
	2,219,102,337	2,123,216,470

- 20.1 Interest, discount and similar income**
Interest income on leases, loans and advances (note-21)
Investment income (note-23)

	-	-
	-	-
	-	-

	Amount in Taka 2013	Amount in Taka 2012
20.2 Administrative expenses:		
Salary and allowances (note-25)	4,511,542	2,410,321
Rent, taxes, insurance, electricity, etc. (note-26)	478,906	594,183
Legal expenses (note-27)	-	-
Postage, stamp, telecommunication etc. (note-28)	224,751	74,775
Stationery, printing, advertisement etc. (note-29)	935,112	659,889
Managing Director's salary and allowances (note-30)	3,981,565	3,712,500
Directors' fee (note-31)	117,000	135,000
Auditors' fee (note-32)	57,500	57,500
	10,306,376	7,644,168
21 Interest income on leases, loans and advances:		
The company have no interest income on leases, loans and advances.		
22 Interest expenses on deposits, borrowings, etc.:		
The company have no interest expenses on deposits, borrowings, etc.		
23 Investment income:		
24 Other operating income:		
Interest revenue (FDR)	2,255,968,925	2,155,185,678
Interest on SND	1,305,335	239,631
Grand Total of Other Operating Income	2,257,274,260	2,155,425,308
25 Salary and allowances:		
Salary and allowances	4,175,442	2,315,321
Bonus (note-25.1)	336,100	95,000
Company's contribution to provident fund	-	-
Retirement benefit and gratuity	-	-
Annual leave encashment	-	-
	4,511,542	2,410,321
25.1 Bonus		
Festival	336,100	95,000
Performance	-	-
	336,100	95,000
26 Rent, taxes, insurance, electricity, etc.:		
Rent, rate and taxes	-	-
Insurance and electricity	478,906	594,183
Power and electricity	-	-
	478,906	594,183
27 Legal expenses:		
Legal expenses	-	-
	-	-
28 Postage, stamp, telecommunication etc.:		
Postage and courier	10,099	165
Telephone, fax, internet and mobile	205,652	67,818
Stamp and court fee	9,000	6,792
	224,751	74,775

	Amount in Taka 2013	Amount in Taka 2012
29 Stationery, printing, advertisement, etc.:		
Printing and stationery	253,399	174,936
Advertisement and publicity	681,713	484,953
	<u>935,112</u>	<u>659,889</u>
30 Chief executive's salary and allowances :		
Remuneration	3,475,000	3,062,500
Festival Bonus	350,000	350,000
House Furnishing allowance		300,000
Medical allowances	156,565	
	<u>3,981,565</u>	<u>3,712,500</u>
31 Directors' fees :		
Directors honorarium	117,000	135,000
	<u>117,000</u>	<u>135,000</u>
Other benefits		
	<u>117,000</u>	<u>135,000</u>
32 Audit fee:		
Audit fee	57,500	57,500
	<u>57,500</u>	<u>57,500</u>
33 Depreciation and repairs of company's assets:		
Depreciation on company's fixed assets (Annexure-B)	2,482,651	2,280,165
	<u>2,482,651</u>	<u>2,280,165</u>
34 Other administrative expenses:		
Office maintenance	227,272	69,555
Travelling and conveyances	12,006	22,323
Training Expenditure	25,000	-
Car Maintenance	44,045	-
Renewal & Registration	22,896,031	23,070,333
Rent-a- Car	-	354,644
Bank Charge & Commission	297,648	122,515
Repair & Maintenance	1,442,112	813,541
Entertainment expenses	224,682	72,621
Honorarium	214,100	19,800
Miscellaneous exp.	-	19,339
Grand Total of other operating expenses	<u>25,382,896</u>	<u>24,564,671</u>

35 Provision for leases, loans and advances:

Provision for classified leases, loans and advances
Provision for unclassified leases, loans and advances

Amount in Taka	Amount in Taka
2013	2012
-	-
-	-
-	-

36 Provision for income tax:

Current tax
Deferred tax

943,118,493	901,397,930
-	-
943,118,493	901,397,930

37 Dividend :

No dividend declared yet.

38 Earning per share :

Earning per share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:

Net profit after tax	1,275,983,844	1,219,538,375
Number of ordinary shares outstanding	160,000,000	160,000,001
Earning per share	7.97	7.62
Basic Earning per share	7.97	7.62
Restated earning per share	7.97	7.62

39 Related party disclosures :

The company doesn't have any transaction with related party.

40 Unacknowledged debt :

The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.

41 Receivable from directors :

No amount is due from any of the directors of the Company.

42 Disclosure regarding branch :

As at December 2013, the company has no branch in or outside of Bangladesh.

43 Disclosure of Executive Committee :

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the year 2013.

44 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.



Mohammad Sagir Hossain Khan
GM & Company Secretary (Incharge)

Signed as per our annexed report of even date.

Dated, Dhaka
14/07/2014



A. R. M Nazmus Sakib
Director




ED & CEO
Md. Atiquzzaman



A. Matin & Co.
Chartered Accountants

BANGLADESH INFRASTRUCTURE FINANCE FUND LTD.
SCHEDULE OF FIXED ASSETS
AS AT DECEMBER 31, 2013

Annexure -A

Particulars	Cost		Dep Rate	Depreciation		Written down value
	Opening	Addition during the year		Opening	Addition during the year	
BIFFL Website	172,500	-	50%	86,250	86,250	172,500
Scanner & Printer	79,000	-	30%	23,700	23,700	47,400
Desktop PC	272,500	275,671	30%	81,750	164,451	246,201
Vehicle - (Pajaro & Maicra)	10,442,323	-	20%	2,088,465	2,088,465	4,176,929
Accounting Software	-	112,860	50%	-	56,430	56,430
Building & Civil Construction	-	30,200	10%	-	3,020	27,180
LT Panel & PFI Plant	-	190,000	10%	-	19,000	171,000
Multimedia Projector	-	60,000	30%	-	18,000	42,000
Furniture	-	193,970	10%	-	19,397	174,573
Electric Meter	-	9,400	10%	-	940	8,460
Projector Screen	-	8,000	30%	-	2,400	5,600
Wasa Meter	-	5,980	10%	-	598	5,382
	10,966,323	886,081		2,280,165	2,482,651	4,762,816
		11,852,404				7,089,589



বাংলাদেশ ইনফ্রাস্ট্রাকচার ফাইন্যান্স ফান্ড লিমিটেড
BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED
 4, Anjuman Mufidul Islam Road, Kakrail, Dhaka-1000, Bangladesh.
 PABX-880-2-8333238-9; FAX-880-2-9348538; WEB: <http://www.biffl.org.bd>

Ref. No. BIFFL/CS-2.2.1/2014-268
 Date: 21 August, 2014

NOTICE **THE 3RD ANNUAL GENERAL MEETING, 2013**

Notice is hereby given that the Third (3rd) Annual General Meeting (AGM) of Bangladesh Infrastructure Finance Fund Limited (BIFFL) will be held on Sunday, 14th September, 2014 at 19.00 hours at the Conference Room, BIFFL Corporate Office, Kakrail, Dhaka-1000 to transact the following business:

AGENDA

1. To receive, consider and adopt the Audited Financial Statements for the year ended December 31, 2013 together with the Reports of the Auditors and the Directors.
2. To Elect / Re-elect the Director (s).
3. To Appoint / re-appoint the Statutory Auditors and fix their remuneration for the financial year ending December 31, 2014 till the completion of 4th Annual General Meeting, 2014.

The Shareholders of the company are requested to attend the Annual General Meeting, 2013.

By order of the Board,



 Mohammad M. Khan
 Company Secretary

NOTES:

- A. The Shareholder / Member who is eligible to attend and vote in the AGM may appoint PROXY and VOTE on his / her behalf. [BIFFL Article- 84]
- B. PROXY is not required to be Shareholder / Member of the Company. [BIFFL Article- 84]
- C. PROXY FORM must be affixed with Revenue Stamp of Tk 20/- and submitted to the Company's Registered Office not later than 72 hours before the time fixed for the AGM. [BIFFL Article- 84 and Stamp Act sec-52]
- D. SHARE HOLDERS and PROXIES are requested to record their ENTRY at the AGM well in time. No entry will be recorded after 18.30 hours on the date of AGM.



বাংলাদেশ ইনফ্রাস্ট্রাকচার ফাইন্যান্স ফান্ড লিমিটেড

BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED

4, Anjuman Mufidul Islam Road, Kakrail, Dhaka - 1000, Bangladesh.
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PROXY FORM

I / We _____
 of _____
 being the Member / Shareholder (s) of Bangladesh Infrastructure Finance Fund Limited do hereby appoint Mr. / Ms. _____
 of _____ or (calling him / her) Mr. /
 Ms. _____
 of _____
 as my / our PROXY to attend and vote on my / our behalf at the 3rd Annual General Meeting (AGM) of the company to be held on (day), (date), at (Time) at (venue), Dhaka and any adjournment thereof or any ballot to be taken in consequence thereof.

Signed this _____ day of September 2014.

REVENUE
 STAMP
 TK. 20.00

Signature of PROXY

Signature of Shareholder

Folio / BO ID No. :

No. of Shares :

N.B:

1. Only the Shareholder can appoint PROXY.
2. Signature of the Shareholder shall agree with the specimen signature registered with the company.
3. This form of PROXY duly completed and must be deposited at least 72 hours before the AGM at the company's registered office.
4. PROXY is invalid if the form is not signed and stamped adequately.



বাংলাদেশ ইনফ্রাস্ট্রাকচার ফাইন্যান্স ফান্ড লিমিটেড

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ATTENDANCE SLIP

I / We hereby record my / our attendance at the 3rd Annual General Meeting (AGM) of the company being held on (Day), (Date), at (Time) at (Venue), Dhaka-...

Name of Shareholder													
Folio / B.O No.													
Number of Share held													
Name of PROXY													
Folio / B.O No.													

Signature of Shareholder

Signature of PROXY

N.B: Members attending the AGM in person or by Proxy are requested to complete Attendance Slip and deposit the same at the entrance of the Meeting hall.



AGM TEAM



Mohammad Shahidul Islam

Mohammad M. Khan

Md. Nisarul Kabir Siddiqui

Standing Position from left to right -

Md. Saddam Hossain | Rabeya Rahman | Rajina Rashid | Abdullah Al Mamun

The Shareholders & Stakeholders,

We are very much contented to work and accomplish the 3rd Annual Report for the year 2013 as well the 3rd Annual General Meeting -2013 of Bangladesh Infrastructure Finance Fund Limited (BIFFL). We have tried to present the Annual Report 2013 focusing the objective of the organization as a financial institution which has been playing a pivotal role in the National Development of Bangladesh through Financing Infrastructure Projects. The Report of also contains the Directors Report, Independent Auditors Report to the Shareholders, Audited Financial Statement with notes for the year 2013.

We would like to convey gratitude to the Honorable & Valued Chairman and Directors of BIFFL Board. We would like to thank our Respected & Adored Executive Director & CEO and also all the Officers and Staffs of the organization for their enormous support and cooperation.

At the same time, we regret for any kind of printing mistake, inadvertent error and any inconvenience in the Annual Report 2013 of Bangladesh Infrastructure Finance Fund Limited (BIFFL).

For AGM Sub Committee.

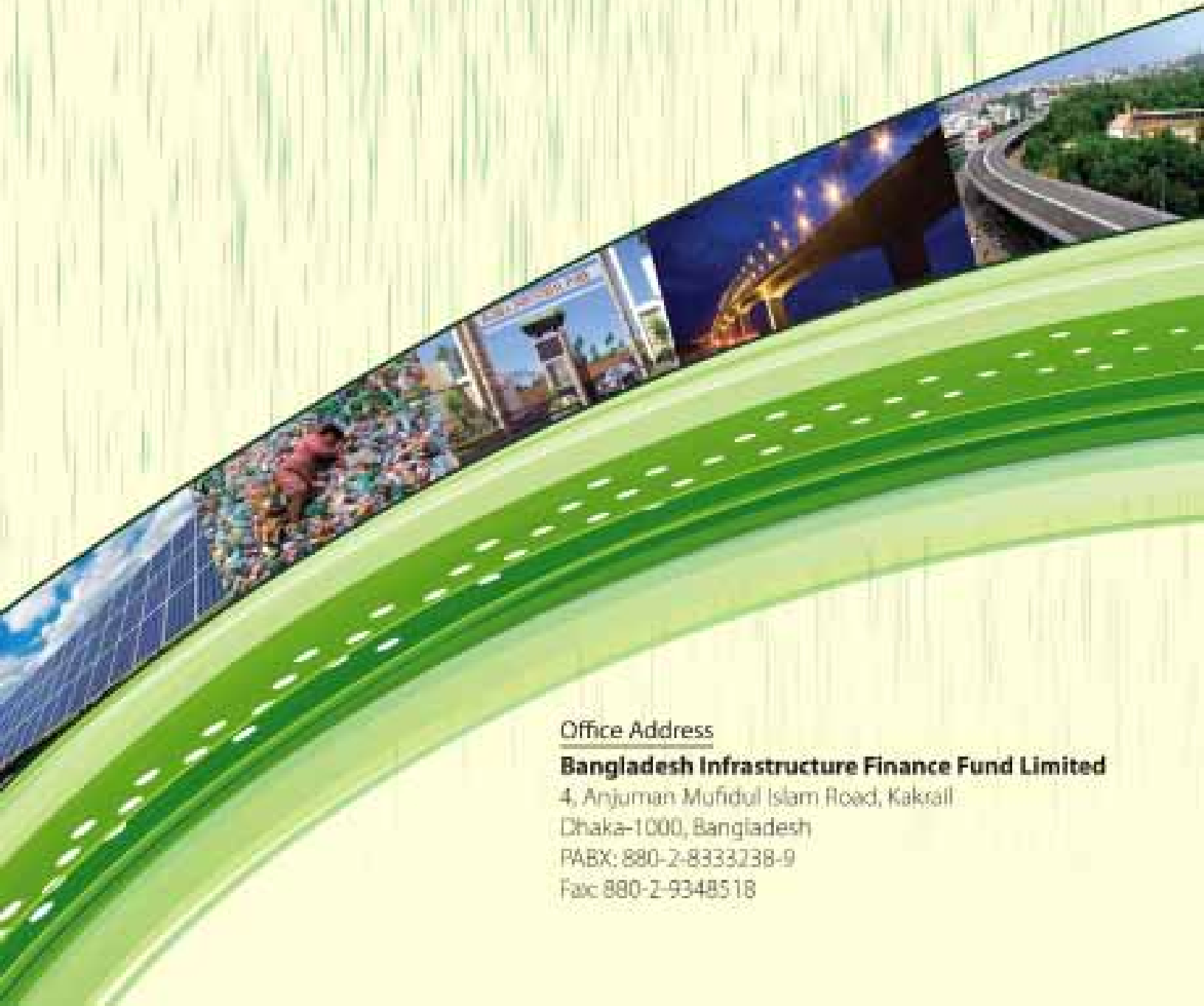


Mohammad M. Khan
Company Secretary

SUPPORT STAFF OF BIFFL



www.biffl.org.bd



Office Address

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Dhaka-1000, Bangladesh

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